IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA

In the matter of an application for mandates in the nature of Writs of Mandamus and Prohibition, in terms of Article 140 of the Constitution.

CA Writ Application No. 169/2024

Puttalam Ilmenite Limited
9A 1/1 Sellamuttu Avenue,
Colombo 03.

PETITIONER

Vs.

1. Sri Lanka Cement Corporation
27, Vauxhall Street,
Colombo 02.

2. Jagath Dharmapriya
Chairman,
Sri Lanka Cement Corporation,
27, Vauxhall Street,
Colombo 02.

2A. Balasubraminum Kunalini
Chairman,
Sri Lanka Cement Corporation,
27, Vauxhall Street,
Colombo 02.

And

Assistant Director,
Ministry of Industries,
Development II Division,
No. 73/ 1,
Galle Road,
Colombo 3.

2B. Mr. Priyantha Peiris
Chairman,
Sri Lanka Cement Corporation,
27, Vauxhall Street,
Colombo 02.

Added Respondent

3. Geological Survey and Mines Bureau,
569, Epitamulla Road,
Sri Jayawardenapura Kotte.

4. Asha Minerals (Pvt) Limited
103C, Uttarananda Mawatha,
Colombo 02.

5. Northwestern Provincial Environmental Authority,
Dambulla Road,
Kurunegala.

RESPONDENTS

In the matter of an application in terms of Article 140 of the Constitution of the Democratic Socialist Republic of Sri Lanka.

CA Writ Application No. 200/2024

Asha Minerals (Pvt) Limited
103C, Uttarananda Mawatha,
Colombo 03.

PETITIONER

Vs.

1. Geological Survey and Mines Bureau,
No. 569, Epitamulla Road,
Sri Jayawardenapura Kotte.

2. Sri Lanka Cement Corporation
No.27, Vauxhall Street,
Colombo 02.

3. Puttalam Ilmenite Limited,
No. 9A 1/1, Sellamuttu Avenue,
Colombo 03.

4. Dr. Kithsiri Manchanayake,
Chairman,
Board of Management,
Geological Survey and Mines
Bureau.

5. Prof. H. M. R. Premasiri
Director General (Actg.)
Member,
Board of Management,
Geological Survey and Mines
Bureau.

6. I. C. Pathiraja
Member,
Board of Management,
Geological Survey and Mines
Bureau.

7. Ajitha Batagoda
Member,
Board of Management,
Geological Survey and Mines
Bureau.

8. Dr. Anwar Mohomed Hamdani
Member,
Board of Management,
Geological Survey and Mines
Bureau.

9. R. Manoj Gamage
Member,
Board of Management,
Geological Survey and Mines
Bureau.

All of:
Geological Survey and Mines
Bureau,
No. 569, Epitamulla Road,
Sri Jayawardenapura Kotte.

RESPONDENTS

Before: Mayadunne Corea, J.
Mahen Gopallawa, J.

Counsel: Dr. Romesh de Silva, PC with Chanaka de Silva, PC, Niran Anketell and Ms. Dilrukshi Paul Instructed by K.U. Gunasekara for the Petitioner in CA Writ Application No. 169/2024 and for the 3rd Respondent in CA Writ Application No. 200/2024.

Ali Sabry, PC with Namiq Nafath instructed by Sanath Wijewardena for the Petitioner in CA Writ Application No. 200/2024.

Uditha Egalahewa, PC with Ruwantha Cooray and Namiq Nafath instructed by Sanath Wijewardena for the 4th Respondent in CA Writ Application No. 169/2024.

Ms. Shemanthi Dunuwille, State Counsel for the 1st, 2nd, 3rd Respondents in CA Writ Application No. 169/2024 and for the 1st, 2nd , 4th to 9th Respondents in CA Writ Application No. 200/2024.

Argued on: 15.07.2025, 29.07.2025, 04.08.2025, 25.08.2025, 26.08.2025, 28.08.2025, 08.10.2025 and 10.11.2025.

Written Submissions: Petitioner in CA Writ 169/2024 and 3rd Respondent in CA Writ 200/2024 on 19.12.2025

Petitioner in CA Writ 200/2024 and 4th Respondent in CA Writ 169/2024 on 19.12.2025

1st, 2nd, 3rd Respondents in CA Writ Application No. 169/2024 on 19.12.2025 and for the 1st, 2nd, 4th to 9th Respondents in CA Writ Application No. 200/2024 on 3.12.2025

Decided on: 13.03.2026.

Mahen Gopallawa, J.

<u>Introduction</u>

These two applications relate to competing claims for licensing submitted to the Geological Survey and Mines Bureau (GSMB) under the Mines and Minerals Act, No. 33 of 1992 (as amended) for the exploitation of ilmenite mineral sand in a land in Aruwakkalu, Puttalam vested in the Sri Lanka Cement Corporation (SLCC); Messrs. Puttalam Ilmenite Limited (Puttalam Ilmenite), the Petitioner in CA Writ Application No. 169/2024, has sought an

industrial mining licence, whilst Messrs. Asha Minerals (Pvt) Limited (Asha Minerals), the Petitioner in CA Writ 200/2024, has sought to obtain a trading licence. Although the prerogative writs were sought against the GSMB and the SLCC, which are public authorities, in each application, it was observed that the grant of such reliefs in one application had a direct impact upon the rights and interests of the Petitioner in the other application. Thus, it was agreed by all parties that these two applications may be considered and determined together by this Court. When these applications were taken up for argument, the parties further agreed a single judgment may be delivered encompassing both applications.

Reliefs sought by the Petitioners

In CA Writ Application No. 169/2024, the Petitioner, Puttalam Ilmenite Limited, has sought the following substantive reliefs;

c) *A mandate in the nature of a writ of mandamus directing the 3rd Respondent to extend the Retention License granted to the Petitioner for one further year from October 2024 onwards in the event an Industrial Mining License is not granted by such time;*
And / or

d) *A writ of mandamus directing the 3rd Respondent to grant the Petitioner an Industrial Mining License*

e) *A mandate in the nature of a writ of prohibition preventing the 3rd Respondent its servants, agents employees and all those acting under or through it from granting any licenses to the 4th Respondent to mine and/or process mineral sands at the land in Aruwakkalu, Puttalam, in respect of which the Petitioner has submitted a Final Exploration Report to the GSMB, and in respect of which the GSMB has issued a Retention License to the Petitioner;*

f) *A mandate in the nature of a writ of prohibition preventing the 1st Respondent its servants, agents, employees and those acting under and through it from permitting the 4th Respondent its servants agents employees and those acting under or through it from accessing the land in Aruwakkalu, Puttalam in respect of which the Petitioner has submitted a Final Exploration Report to the GSMB, and in respect of which the GSMB has issued a Retention License to the Petitioner;*

g) *A mandate in the nature of a writ of prohibition preventing the 1st Respondent its servants, agents, employees and those acting under and through it from denying the Petitioner access to the relevant land and/or denying that such access has been granted for the purpose of Industrial Mining and/or an Industrial Mining License and/or the purpose of completing all necessary steps to obtain such license;*

The Petitioner has sought such reliefs on the grounds that it has a legitimate expectation to obtain an Industrial Mining Licence from the GSMB and that the conduct of the SLCC is in breach of its rights under the Mines and Minerals Act, ultra vires, unlawful, unreasonable,

irrational, capricious, based on extraneous and/ or mala fide considerations, motivated by vested interests, in violation of the principles proportionality and the duty to act fairly, the duty to give reasons and in breach of the rules of natural justice and its legitimate expectations.[1]

In CA Writ Application No. 200/2024, the Petitioner, Asha Minerals has sought the following substantive reliefs;

b. *Grant a mandate in the nature of Writ of Certiorari to call and quash the letter dated 22- 03-2024 marked as 'P15';*

c. *Grant a mandate in the nature of Writ of Certiorari to call and quash the purported decisions contained in the letter dated 22-03-2024 marked "P15";*

d. *Grant a mandate in the nature of Writ of Certiorari to call and quash any decision taken pursuant to or in consequence of the said impugned letter dated 22-03-2024 marked 'P15':*

e. *Grant a mandate in the nature of Writ of Certiorari to call and quash the exploratory license(s) granted by the 1st Respondent to the 3rd Respondent and the purported decision(s) contained therein in respect of the land in Aruwakkalu, Puttalam which forms the subject matter of this application;*

f. *Grant a mandate in the nature of Writ of Certiorari to call and quash the Retention license(s) granted by the 1st Respondent to the 3rd Respondent and the purported decision(s) contained therein in respect of the land in Aruwakkalu, Puttalam which forms the subject matter of this application;*

g. *Grant a mandate in the nature of Writ of Prohibition preventing the 1st Respondent from issuing an Industrial Mining License and/or any license to the 3rd Respondent to mine and/or process mineral sands at the land in Aruwakkalu, Puttalam which forms the subject matter of this application;*

h. *Grant a mandate in the nature of Writ of Prohibition preventing the 2nd Respondent from permitting the 3rd Respondent to access the land in Aruwakkalu, Puttalam which forms the subject matter of this application;*

i. *Grant a mandate in the nature of Writ of Mandamus directing any one or more of the Respondents to issue and accept an application from the Petitioner for a trading license and process the said application in terms of the law and issue a trading license accordingly in respect of the land in Aruwakkalu, Puttalam which forms the subject matter of this application;*

In seeking such reliefs, the Petitioner has alleged that the impugned decisions and acts of the GSMB and the SLCC are illegal, irrational, disproportionate, in violation of the rules of natural

[1] Vide paragraphs 110-121 of the petition in CA Writ 169/2024

justice, subject to *estoppel*, procedurally improper, and in violation of the Petitioner's legitimate expectations.[2]

Factual Background

For ease of reference, the chronology of key events and actions material to these applications, as extracted from the pleadings and documents filed by the parties, may be tabulated as follows;

Date/Period	Event/Action (Relevant Document(s)-CA Writ 169/2024 unless otherwise stated)
09 July 2010	Exploration licence EL/170 was granted to PKD Resources Private Ltd. valid for 24 months from 09.07.2010 to 08.07.2012 by the GSMB (R-3a).
06 July 2012	Exploration licence with PKD Resources Private Ltd. was extended for a further 24 months under EL/170/R/1 from 09.07.2012 to 08.07.2014 (R-3b).
2013	Iluka undertook exploration activities in Aruwakkalu under exploration licence EL/170.
08 July 2014	Exploration licence with PKD Resources Private Ltd. was extended for a further 24 months under EL/170/R/2 from 09.07.2014 to 08.07.2016 (R-3c).
2015	Exploration activities suspended.
28 June 2016	Exploration licence was issued to Iluka Lanka Resources (Pvt) Ltd extending the previous licence for 24 months under EL/170/R/3 from 09.07.2016 to 08.07.2018 (R-3d).
2016 – 2019	Exploration activities continued.
25 May 2017	SLCC issued a no objection letter to Iluka Resources Ltd to conduct technical studies in Aruwakkalu until the 31 December 2018 (P-7a).
06 September 2018	Exploration licence with Iluka Lanka Resources (Pvt) Ltd was extended for further 24 months under EL/170/R/4 from 07.09.2018 to 06.09.2020 (R-3e).
31 December 2018	SLCC issued a letter to Iluka Lanka Resources to pay a gate access fee of USD 23,400 to conduct technical studies (P-7b).

[2] Vide paragraph 33 of the petition in CA Writ 200/2024.

17 January 2019	SLCC issued a no objection letter to Iluka Lanka Resources to conduct technical studies in Aruwakkalu until the 31st of December 2019 for a gate access fee of USD 20,000 (P-7c).
14 November 2019	SLCC informed Puttalam Ilmenite that they are required to obtain fresh approval to continue the gate access for the technical studies and connected explorations under an increased gate access fee of USD 40,000 (1R-2).
29 November 2019	Puttalam Ilmenite proposed to SLCC that the fee for the 12-month access remain at USD 20,000, similar to years 2018-19 (1R-3).
December 2019	Iluka Lanka submitted the final Exploration Report under EL/170.
16 June 2020	The SLCC board minutes indicate that the previous contract it had with the Puttalam Ilmenite will not be continued after the contractual period (1R-5).
04 September 2020	Iluka Lanka Exploration (Pvt) Ltd. changed its name to Puttalam Ilmenite (private) Limited.
07 September 2020	Puttalam Ilmenite made a fresh application for an exploration licence (P-9).
16 December 2020	GSMB informed the Coastal Conservation Department that Puttalam Ilmenite intends to apply for an exploration licence (P-10a).
11 January 2021	SLCC requested that they be granted a mining licence and further informed the GSMB to refrain from issuing an exploration licence to the Puttalam Ilmenite (1R-6).
21 January 2021	SLCC wrote to the Secretary, Ministry of Environment stating that that the Minister of Industries ought to be consulted before a licence is issued to Puttalam Ilmenite (1R-7).
01 February 2021	Coastal Conservation Department issued a no objection letter for the proposed project in response to the GSMB letter on 16.12.2020 inclusive of a condition that the licence should be confined to one year, from 02 February 2021 to 01 February 2022 (P-10c).
20 August 2021	GSMB issued an exploration licence under EL/410 to Puttalam Ilmenite from 20.08.2021 to 19.08.2023 for 24 months (P-11).
30 September 2021	Puttalam Ilmenite submitted its final exploration report under licence EL/410 (P-12).

22 October 2021	GSMB recommended the Puttalam Ilmenite project as economically viable for mining and requested the CEA to initiate the environmental clearance process for the project (P-13).
05 November 2021	Puttalam Ilmenite submitted the basic information questionnaire to initiate the EIA process (P-15a).
16 August 2022	The Senior Assistant Secretary to the President requested the SLCC to look into the matter of granting land access to Puttalam Ilmenite (1R-10).
17 February 2023	Puttalam Ilmenite submitted an application for an industrial mining licence (P-16).
14 March 2023	The value addition pilot project proposal submitted by Asha Minerals to extract minerals from the overburdened red soil in Aruwakkalu was accepted by SLCC (P5(i)-(v) in Writ/200/24).
21 March 2023	Asha Minerals made a request to the Director, North Western Provincial Environment Authority for environmental clearance (P5(viii) in Writ/200/24).
10 April 2023	Implementation agreement was entered into by Asha Minerals and SLCC (P-26, 1R-27(a) in Writ/169/24; P-6 in Writ/200/24).
05 June 2023	GSMB requested additional documents from Puttalam Ilmenite to process Mining Licence Application No. IML/A/N/2023/7059 (P-17a).
13 June 2023	Puttalam Ilmenite requested an extension until 19.07.2023 from the GSMB to provide the additional documents (P-17e).
20 June 2023	Puttalam Ilmenite made an application to obtain a retention to Exploration Licence EL/410 (P-18).
28 June 2023	Final reminder by GSMB to Puttalam Ilmenite submit documents (P-17b)
05 July 2023	Puttalam Ilmenite requested the GSMB for additional time to file the relevant documents (P-17f)
11 August 2023	Puttalam Ilmenite made a follow up on application for the retention of licence (unmarked document immediately after P18)
16 August 2023	Letter by GSMB to Puttalam Ilmenite stating that they would take necessary further action as per the Mines and Minerals Act and the regulations thereunder without any further notice (P17c)

22 August 2023	SLCC granted Puttalam Ilmenite land access for 6 months and stated that the Petitioner should carry out a feasibility study and research and submit a report to SLCC (P-22, 1R-33).
28 August 2023	Puttalam Ilmenite submitted documents to the GSMB to confirm its land access (P-17g).
15 September 2023	Puttalam Ilmenite submitted the survey plans as requested by the GSMB (P-17h).
10 October 2023	North Western Provincial Environment Authority forwarded the final terms of reference to Puttalam Ilmenite (P-15e).
19 October 2023	GSMB granted a retention for Exploration Licence EL/410 from 10.10.2023 to 09.10.2024 (P-19).
09 November 2023	SLCC issued a no objection letter to INSEE Cement in favour of Puttalam Ilmenite (1R-34(b))
24 November 2023	Supplementary Agreement to Implementation Agreement was entered into by SLCC and Asha Minerals (P-29, 1R-27(b) in Writ 169/24; P-8(a) in Writ/200/24).
13 December 2023	Asha Minerals sent letter to the GSMB seeking "its intervention to grant us the Trading Licence & other required licences" (P-12(i) in Writ/200/24).
19 December 2023	Asha Minerals sent letter to the GSMB seeking a "written confirmation" of the understanding that "heavy mineral extraction from red soil at Aruwakkalu is considered as a value addition by the GSMB".
02 January 2024	GSMB sent a letter inquiring if Puttalam Ilmenite had an objection with issuing a trading licence to a 3rd party (P-32).
06 January 2024	Puttalam Ilmenite responded to the GSMB with its objections in granting such a trading licence (P-33a).
08 January 2024	Puttalam Ilmenite requested SLCC to extend the land access period (P-24a).
22 March 2024	GSMB letter informing the rejection of Asha Minerals' trading licence application and setting out its understanding of the project (P-15 in Writ/200/24).

02 August 2024	Puttalam Ilmenite requested an extension to the Retention Licence EL/410 along with an enclosed cheque for the payment (X-1, P-46).
19 September 2024	GSMB refused to accept the cheque from Puttalam Ilmenite and returned it pending this application before the Court of Appeal (X-3).
01 April 2025	GSMB communicated to Puttalam Ilmenite that it was prepared to grant a final extension for the retention period for the Exploration Licence EL/410 (P-61).

Apart from the events set out above, it is acknowledged that the pleadings in both applications contain claims and counter-claims made by the Petitioners in the two applications against each other and against other Respondents on a host of issues. Such claims and counter-claims will also be examined, as and when necessary.

For the avoidance of doubt, it is clarified that the term "the Petitioner" will be used to refer to the petitioner in the particular application, and the terms "Puttalam Ilmenite" and "Asha Minerals" would also be used interchangeably to refer to the said parties

Entitlements of the Parties

The regulatory regime for the exploration for, mining, transportation, processing, trading in and export of minerals has been established by the Mines and Minerals Act, No 33. of 1992 (as amended), and, with regard to the ownership of minerals, section 26 of the Act provides as follows;

> *26. (1) Subject as hereinafter provided, and the rights granted by a licence issued under this Act, the ownership of minerals is hereby vested in the Republic, notwithstanding any right of ownership or otherwise which any person may have to the soil on, in or, under which minerals are found or situated.*
>
> *(2) Any person who discovers any mineral shall forthwith inform the Director thereof.*

The necessity for a party to obtain a licence to explore for, mine, transport, process, store, trade in and export minerals arises from section 28 of the said Act, and, section 26(1) thereof is reproduced below;

> *28. (1) No person shall explore for, mine, transport, process, store, trade in or export any minerals except under the authority of, or otherwise than in accordance with, a licence issued in that behalf under the provisions of this Act and the regulations made thereunder:*

The GSMB has been identified and established as the licensing authority in section 34 of the Mines and Minerals Act in the following terms;

> *34. Every application for a licence Act shall be made to the Bureau in such form and shall contain such particulars and shall be accompanied by such documents as may be prescribed and the prescribed fee.*

It is proposed to examine the entitlement of the two Petitioners in the instant applications to the reliefs sought in respect of the licenses sought by them within the statutory framework set out by the Mines and Minerals Act. In considering such entitlement of a party, the case presented by such party as well as the objections raised by the other parties to the grant of such reliefs will be considered.

Entitlement of Puttalam Ilmenite (Petitioner in CA Writ 169/2024)

As reflected in paragraphs (c) and (d) to the prayer of its petition, the principal substantive reliefs sought by the Petitioner are directions to the GSMB to extend the "Retention Licence" granted to it for "one further year from October 2024 onwards" and to grant the Petitioner an Industrial mining licence. I wish to now address the Petitioner's entitlements to such reliefs.

Retention License

In the first instance, I wish to point out that there is no category of licenses called a "Retention Licence" contemplated in the Mines and Minerals Act, No. 33 of 1992 (as amended) and the Regulations made thereunder, and, as submitted in the written submissions filed on behalf of the 1st to 3rd Respondents. What is contemplated is the conferment of a "retention period," as "a regulatory mechanism of limited duration, intended solely to preserve a mineral discovery while enabling the applicant to satisfy clearly defined statutory prerequisites prior to being considered for a mining license."[3] Thus, I will consider the reference to "Retention License" in the petition to denote an extension of the retention period.

The Exploration Licence EL/140 (P11) was issued for a period of 24 months from 20.08.2021 to 19.08.2023. Thereafter, upon a request made by the Petitioner on 20.06.2023 (P18), a retention period for the grid units covered by the said Exploration License was granted by the GSMB for a period of 01 year from 10.10.2023 to 09.10.2024 (P19). It is not in dispute that the duration of the said retention period has been further extended during the pendency of this application until 08.10.2025.

The 1st to 3rd Respondents have pointed out that the maximum permissible period that an Exploration Licence could be retained is 02 years in terms of Regulation 4(14)(e) of the Mining (Licensing) Regulations No. 1 of 1993, as amended by Gazette Notification No. 2313/37 dated 04.01.2023 (R2). Thus, the said Respondents have taken up the position that the consideration of such relief has become academic.

Since the retention period of the Exploration Licence had been extended for a period of 01 year, as specifically sought in paragraph (c) of the prayer to the petition, and, upon consideration of the aforementioned position taken up by the 1st to 3rd Respondents, I am of the view that it would not be necessary for this Court to consider the said relief any longer.

[3] Vide paragraph 76 of the 1st to 3rd Respondents' written submissions.

Industrial Mining License

According to the petition, the Petitioner had submitted its application for an industrial mining licence to the GSMB on 17.02.2023 and the said application had been registered with serial no. IML/A/N/2023/7059. A copy of the covering letter dated 17.02.2023 along with a copy of the application form itself has been annexed to the petition marked P16 and such documents would be hereinafter cumulatively referred to as the Petitioner's industrial mining licence application.

As referred In paragraph (d) of the prayer to its petition, the Petitioner has sought a writ of *Mandamus* directing the GSMB to grant the Petitioner an Industrial mining licence.

The Petitioner has summarized its entitlement to an Industrial mining licence in chronological sequence in its written submissions, as follows;

(a) it is the only entity that had conducted comprehensive, scientifically rigorous exploration of the Aruwakkalu heavy mineral deposit;

(b) it had submitted a Final Exploration Report that has been validated by the GSMB as identifying an economically viable deposit of 32.4 million tonnes of ilmenite**;**

(c) it has complied with all statutory requirements and timelines under Exploration Licence No. EL/410, including submission of the Final Exploration Report within 41 days (requirement: 3 months), commencement of the Environmental Impact Assessment process (requirement: within 30 days of validation), and submission of the Industrial mining licence application on 17.02.2023 (requirement: within 18 months);

(d) it had been issued a Retention Licence by the GSMB on 19.10.2023 protecting its exclusive rights over the licensed area; and

(e) it has invested in excess of USD 20 million (LKR 3.14 billion at the exchange rate of the time) in exploration, feasibility, and project development.[4]

The Petitioner contends that it is entitled in terms of the Mines and Minerals Act to an Industrial mining licence and has submitted that section 48(3) of the Act "creates a mandatory statutory entitlement in favour of exploration licensees who have determined commercial viability" to receive such an Industrial mining licence.[5]

Section 48(3) of the Mines and Minerals Act provides as follows;

> *Where the holder of a licence to explore for minerals determines that a mineral may be developed and mined on a commercial basis in the area in respect of which such licence has been issued, he shall have the exclusive right to apply for and obtain an industrial mining licence and artisanal mining licence in respect of such area, if he has complied with the conditions attached to the licence issued to him to explore for*

[4] Petitioner's written submissions, paragraph 156.

[5] Ibid, paragraph 165.

minerals and is otherwise not disqualified under any other provision of this Act from obtaining a licence for mining minerals.

The Petitioner has taken up the position that the word "shall" in the aforementioned section 48(3) is imperative and mandatory and confers upon the qualifying exploration licensee an absolute right to obtain the industrial mining licence, once the statutory requirements are satisfied.[6]

In its analysis of section 48(3) of the Act, the Petitioner has identified 03 cumulative conditions to be satisfied for an exploration licensee to be entitled for an industrial mining licence, as follows;

(a) a determination of commercial viability;
(b) compliance with the conditions attached to the exploration licence; and
(c) the absence of any statutory disqualification. [7]

The Petitioner has submitted that it has satisfied each of these conditions, and, is therefore, entitled to an industrial mining licence.

The Respondents have strenuously contested such interpretation of section 48(3) of the Mines and Minerals Act. The position taken up by the 1st to 3rd Respondents on this issue is clearly reflected in paragraphs 66 to 70 of its written submissions, which are reproduced below;

66) *Under Sri Lanka's statutory framework, the Mines and Minerals Act recognises three principal categories of licences: Exploration Licence, Industrial Mining Licence, and Trading Licence. Each serves a distinct statutory purpose, with separate procedural and substantive requirements Transition from one category to another is neither automatic nor discretionary but strictly regulated by statute and subsidiary legislation.*

67) *While the Petitioner holds a valid Exploration Licence, possession thereof* ***does not****,* ***either expressly or by implication, confer entitlement to an Industrial Mining Licence****. At the stage application, the Petitioner must demonstrate ownership of, or lawful authority to use, the land through landowner consent, lease, or affidavit, as required by Form 3:1 and Section 51 of the Mines and Minerals Act.*

68) *Any assertion that these requirements are optional or deferred is legally untenable. The Mines and Minerals Act, Regulations, Gazette Notifications, and prescribed application Forms constitute an integrated statutory scheme. The mandatory requirements in the Forms are not administrative conveniences; they are extensions of the statutory framework and impose binding obligations.*

69) *The Petitioner's attempt to artificially compartmentalise the* ***Mines and Minerals Act****, the* ***Regulations****, the* ***Gazette Notifications****, and the* ***prescribed application Forms*** *is legally untenable. The Respondents respectfully submit that these instruments form an* ***integrated statutory scheme****, enacted to give full effect to Parliament's intention in regulating the exploitation of non-renewable mineral resources. The prescribed*

[6] Ibid, paragraph 167.
[7] Ibid, paragraph 168.

Forms are not administrative conveniences; they are an extension of the statutory framework and impose binding obligations on applicants.

70) It is therefore submitted that, in interpreting and applying the provisions of the Mines and Minerals Act, this Honourable Court must necessarily read the Act ***conjunctively*** *with the Regulations, the relevant Gazette Notifications, and the mandatory requirements contained in the prescribed Forms. When read holistically, the statutory framework leaves no lacuna or ambiguity. The Petitioner's failure to comply with these mandatory prerequisites demonstrates that the application for an Industrial Mining Licence is* ***statutorily incomplete****, and no legal right has arisen capable of being enforced by way of writ [of] mandamus.*

Upon consideration of the aforementioned positions taken up by the parties, I am of the view that the 03 conditions in section 48(3) of the Mines and Minerals Act referred to by the Petitioner have to be construed and interpreted taking into account all applicable provisions of the said Act and the regulations made thereunder, including prescribed forms and licence conditions, which constitute one "integrated statutory scheme" as articulated by the 1st to 3rd Respondents. I will proceed to examine the respective positions of the parties regarding the conditions set out in section 48(3) above and to set out my findings thereon.

1. Determination of Commercial Viability

The Petitioner states that it had submitted its Final Exploration Report under Licence EL/410 to the GSMB by letter dated 30.09.2021 (P12), and, that, the GSMB had evaluated the said Report, and, by letter dated 22.10.2021 (P13), communicated its findings to the Central Environmental Authority (CEA) that the Bureau had recommended the project as an "economically viable project for the mining and processing of mineral sands." The Petitioner has sought to rely on such findings by the GSMB to demonstrate the commercial viability of mining, as contemplated in section 48(3).

It is observed that the Final Exploration Report referred to in the letter (P12) itself has not been submitted to this Court, and, thus, I am not in a position to make any observations on the contents thereof. However, the fact that it has been evaluated by the GSMB and that a recommendation has been made thereon by the GSMB that the project was economically viable is evident by the letter (P13).

Asha Minerals has taken up the position that the Exploration Licence EL/410, upon which the aforementioned Final Exploration Report was submitted, has been granted illegally and nothing can flow from an illegality. Such a position has been taken on several bases; firstly, the Petitioner had assisted M/s Illuka Resources Lanka (Pvt) and M/s Illuka Lanka PQ (Pvt) Limited in exploration activities during the pendency of Exploration Licence EL/170, without having a valid licence itself in violation of section 28 read with section 63(1)(a) of the Mines and Minerals Act; secondly EL/410 had been granted to the Petitioner in spite of such illegal conduct and based on its relationship to the licence holder of EL/170, which was in violation of section 13(d)(i) of the Act, which contemplates the receipt of an application being received or advertising and calling for expressions of interest; and, thirdly, the Final Exploration Report

had been submitted within 42 days of the issuance of the Licence EL/410, which is insufficient for any genuine exploration and determination to be made that a mineral may be mined on a commercial basis.[8]

However, it is observed that the aforementioned objections to the validity of the Licence EL/410 have only been raised in the objections filed by Asha Minerals in these proceedings, by which time the Final Exploration Report based on such licence too had been submitted (30.09.2021) and evaluated (22.10.2021) and the 24-month validity period of the Exploration Licence had expired (19.08.2023). In such circumstances, I am of the view that, it would neither be appropriate or necessary to consider such objections at this belated stage, whatever their merits may be.

In such circumstances, it would be reasonable for this Court to be guided by the findings and the recommendation made by the GSMB on the Final Exploration Report submitted by the Petitioner on the commercial viability of the project.

2. Compliance with Conditions of the Exploration Licence

In the first instance, it would be prudent to set out *in toto* the conditions set out in the Exploration Licence EL/410 (P11);

CONDITIONS

Please read the following conditions carefully. Noncompliance of any of these conditions would lead to the cancellation of this license

1. *Upon issuance of this license, the licensee shall commence the review of most promising mining areas with previously acquired exploration details and with the details obtain [sic] under this license.*

2. *The final exploration report should be submitted within a period of Three Months from the date of issuance of this license.*

3. *The holder of this license shall not exercise the rights conferred on him under section 51 of the Act except with the consent of the owner of the land.*

4. *Exploration activities should not be conducted within the lands belongs[sic] to the Forest Department.*

5. *Exploration activities will be monitored by the Bureau and the work should be satisfactory[sic] completed.*

6. *All exploration area should be rehabilitated simultaneously with exploration activities.*

[8] Vide paragraphs 70 to 73 of the 4th Respondent's written submissions.

7. *When commencing the exploration program, it should be informed to the GSMB in order to monitor exploration activities.*

8. *The license holder follows the all safety measures to ensure the safety of the workers of the site.*

9. *It is required to maintain First Aid facilities at the exploration site.*

10. *All the workers of the exploration team should be insured by the project proponent during the entire exploration period.*

11. *Within thirty days upon the final exploration report been approved by the Bureau, the licensee should commence the procedure for obtaining environmental impact assessment recommendation.*

12. *The licensee should submit mining license application within eighteen months after issuing the Exploration license and on completion of EIA/IEER process.*

13. *The licensee should enter into an Mineral Investment Agreement (MIA) with Secretary, Ministry of Environment when request by the Bureau.[sic]*

14. *The changes to the structure or legal composition of the company should be previously informed the to [sic] Bureau for suitable action.*

15. *The licensee should abide by the advice to be obtained from the Attorney General Department which is pending to be received.*

In addition to the said conditions, the said Licence also contains 2 attachments; Attachment I containing the additional conditions imposed in terms of section 35(4) of the Mines and Minerals Act and Attachment II containing conditions applied to all holders under section 30(2) of the said Act. There is no dispute between the parties concerning the conditions in Attachments I and II.

Whilst the Petitioner contends that it has complied with all conditions relevant to obtain an industrial mining licence, the Respondents have referred several breaches of licensing conditions on the part of the Petitioner. Thus, it would be incumbent upon this Court to examine licensing conditions upon which parties have raised questions of compliance.

(a) Submission of the Final Exploration Report

As stated earlier, it is the Petitioner's position that its Final Exploration Report had been submitted within 41 days and well within the 03-month period granted for such purpose under

condition 2 of the Licence.[9] It is observed that compliance with such requirement is not in dispute.

(b) Monitoring of Exploration Activities and Satisfactory Completion

The Petitioner contends that it has complied with condition 5 upon the basis that the GSMB had accepted its Final Exploration Report and had determined that mining on commercial basis was economically viable.[10] Whilst re-iterating the observations made by me earlier regarding commercial viability, and, observing that the GSMB has not made any adverse comments on which exploration activities had been conducted, I am inclined to accept the aforementioned position taken up by the Petitioner.

(c) Compliance with Environmental Impact Assessment (EIA)/ Initial Environmental Examination Report (IEER) Requirements

It is observed that conditions 11 and 12 of the licensing conditions both impose obligations on the licensee relating to environmental clearances, which are inter-related. Condition 11 requires the licensee to "commence the procedure for obtaining environmental impact assessment recommendation" within 30 days of the approval of the Final Exploration Report by the GSMB. Condition 12 requires, *inter alia,* that the EIA/IEER process should be completed when the application of the mining licence is submitted by the licensee. The said condition 12 imposes a further obligation upon the licensee to submit such mining licence application within 18 months of the issuance of the exploration licence.

As observed in the written submissions of the 1st to 3rd Respondents, the principal distinction between the EIA and IEER processes lies in the fact that the former involves a process of public participation and consultation whilst the latter does not. EIAs are typically required in large scale and/or environmentally sensitive projects, whilst IEERs are considered sufficient in smaller scale projects with lesser environmental impacts. It is not in dispute in the instant application that a Terms of Reference (TOR) was issued for an EIA in the instant case.

Although the Petitioner contends that it has complied with such conditions, such fact has been strenuously denied by the Respondents, and, such issue can be considered as one of the most contentious issues in this application. I will examine this issue with recourse to the positions taken up by the parties in their pleadings and submissions and to the documents filed by them.

In relation to condition 11, the Petitioner has pointed out that the EIA procedure was commenced by the GSMB itself, when it communicated its recommendation of the project and requested the initiation of the environmental clearance process EIA/IEER by its letter dated 22.10.2021 (P13).[11]

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[9] Petitioner's written submissions, paragraphs 156 and 176.
[10] Ibid, paragraph 177.
[11] Ibid, paragraph 179.

It is observed that the GSMB appears to have addressed the letter (P13) to the CEA pursuant to the request made by the Petitioner itself in its letter dated 30.09.2021 (P12), wherein, *inter alia,* it had specifically acknowledged the necessity to commence the environmental clearance process and that an international mining licence application must "*include an EIA approved by the environmental regulating agencies.*" For purposes of clarity, the text of the said letter (P12) is reproduced below;

> *30 September 2021*
>
> *Eng. Sajjana De Silva*
> *Director General*
> *Geological Survey & Mines Bureau*
> *569, Epitamulla Road,*
> *Pitakotte*
>
> *Dear Sir,*
>
> ***Submission of Final Exploration Report for EL/410***
>
> *We enclose herewith the Puttalam ilmenite (Private) Limited ("PIL") Final Exploration Report for EL/410 ("FER") (2 Copies enclosed). The FER is submitted to the Geological Survey & Mines Bureau (GSMB) well within the 3 months from the date of issuance of licence EL/410, as stipulated in item 2 of the Conditions to the licence.*
>
> *With this submission, we are also confirming our expectation and understanding that*
>
> - *Based on GSMB's assessment of the FER, if PIL is eligible to apply for Industrial Mining Licence ("IML"), within 2 weeks the GSMB will instruct the Central Environmental Authority (CEA) to issue the Terms of Reference (TOR) to complete the Environmental Impact Assessment (EIA).*
> - *The CEA issues the TOR based on the project description which stipulates the technical studies required, and the format of the EIA Report.*
> - *Subject to the COVID-19 related situation in the country PIL will begin the procedure of environmental approvals within 30 days of the above actions by GSMB and CEA*
> - ***An IML application must contain an Economic Viability Report and include an EIA approved by the environmental regulating agencies.*** (emphasis added)
> - *PIL remains ready to sign the Mineral Investment Agreement draft as exchanged on 28.07.21 and is eager to commence mining ASAP.*
>
> *Yours sincerely,*
> *PUTTALAM ILMENITE (PVT) LTD*
>
> *Ryan Rockwood*
> *General Manager*

The Petitioner has also stated that it had submitted a basic information questionnaire to the CEA on 05.11.2021 (P15a) and sought the formulation of terms of reference.[12] However, it is observed that the TOR that has been eventually proceeded with has been issued by the 5th Respondent, which is the Provincial Environmental Authority (North Western Province) and not the CEA.

Regarding compliance with condition 12, the Petitioner has merely stated that it lodged its industrial mining licence application on 17.02.2023 (P16), within 18 months of the date of issuance of the Exploration Licence EL/410 dated 20.08.2021 (P11).[13]

However, it is observed that the said letter (P16) by which the industrial mining licence application was submitted does not refer to a submission of an EIA/IEER, although reference is made therein certain other forms and reports attached to the application. The application form filed before this Court, which only consists of a partially filled Form 3.1 under Mining (Licensing) Regulations 5(1) without the attachments referred to therein, too does not indicate that a completed EIA/IEER was submitted with such application or at the very least indicate that an EIA/IEER had been completed at the time the industrial mining application was submitted.

The petition too does not disclose that such environmental clearance has been completed, even to date. In such circumstances, I am compelled to proceed on the premise that the Petitioner had not completed an EIA/IEER clearance at the time the application for an industrial mining licence was made, as required by condition 12.

The Respondents raised the objection that the Petitioner was in breach of condition 12 by submitting an application for an industrial mining licence prior to completing the EIA/IEER process. Now, I wish to consider the response of the GSMB with regard to the failure on the part of the Petitioner to complete the EIA/IEER. Referring to the Petitioner's application for an industrial mining licence, the GSMB by letter dated 05.06.2023 (P17(a)) had, *inter alia,* requested the Petitioner to *"complete the EIA process and submit the environmental clearance for operating the mine"* and to submit the requisite documents within 02 weeks. A final reminder dated 28.06.2023 (P17(b)) had been sent by the GSMB in view of the Petitioner's failure to comply with the aforementioned letter. Thereafter, by letter dated 16.08.2023 (P17(c)), the GSMB had re-iterated that the Petitioner's application remains incomplete, although 05 months had passed since its submission. In the said letter, the GSMB had specifically referred to the Petitioner's understanding in its letter (P12) that *"an EIA approved by the environmental regulating agencies"* was required.

In fact, it is observed that the correspondence addressed by the Petitioner itself commencing from the letter (P12) has consistently acknowledged the requirement of environmental clearance, including the letter dated 05.07.2023 (P17(f)) wherein it had informed the Minister of Environment of delays in initiating environmental clearance due to alleged obstruction by the Sri Lanka Cement Corporation (SLCC), and, the letter dated 15.09.2023 (P17(h)) wherein it had expressly acknowledged that completion of environmental clearance is *"a prerequisite to the issuance of mining licence as highlighted by the GSMB."*

[12] Ibid, paragraph 180.
[13] Ibid, paragraph 182.

In such backdrop, the only evidence placed before this Court by the Petitioner that it had taken steps to obtain environmental clearance is the Terms of Reference (TOR) for an EIA issued by the Provincial Environmental Authority (North Western Province), the 5th Respondent and attached to the petition marked P15(e), dated 10.10.2023. Several observations may be made on such matter. Firstly, such TOR had been issued well after the industrial mining licence application (P16) had been lodged on 17.02.2023, and, as such, does not comply with the sequence of events contemplated in condition 12. Secondly, the issuance of the TOR does not mean that the EIAR has been completed. Thirdly, the Petitioner has not placed any material before this Court to demonstrate that it has taken steps to comply with the TOR and completed the EIA, even belatedly.

The Petitioner has responded to the objection of non-compliance with condition 12 raised by the Respondents contending that such objection was misconceived on several grounds. The position taken up by the Petitioner is encapsulated in paragraphs 183 to 188 of its written submissions and they are reproduced below, in the interests of clarity;

183. *The Respondents have sought to argue that the Petitioner has not complied with Condition 12 on account of the fact that the mining license application was not submitted prior to the EIA process being completed.*

184. *It is submitted that this submission is misconceived on several grounds:*

185. *First, Condition 12 does not unambiguously impose a requirement that the EIA be concluded prior to the mining license application being submitted. Condition 12 only stipulates the time limits for submission of the mining license application. If the GSMB wished to impose a specific condition that the mining license application can only be submitted AFTER the EIA process is completed, or that the application must complete the EIA process within eighteen months of the exploration license being granted, it would have stated so explicitly. Condition 12 does not impose such a requirement.*

186. *Second, and as a connected point, the purpose of Condition 12 is to ensure that the mining license application is not delayed. It does not impose an additional requirement that the EIA process be completed prior to eighteen months of the exploration license being granted;*

187. *Third, in any event, a condition of an exploration license cannot change the statutory scheme as it relates to mining, and in particular Section 61(1) of the Mines and Minerals Act which only specifies that the holder of a licence shall carry out the "**activities"** authorized by such licence in compliance with the National Environment Act;*

188. *Fourth, the GSMB has never taken up the position-either in its correspondence with the Petitioner or in its Statement of Objections-that the Petitioner has violated the conditions of the Exploration License. In fact, the GSMB granted the retention period to the Petitioner upon the exploration license lapsing.*

In addition, reference has also been made to the fact that Regulation 13 of the Mining (Licensing) Regulations, which prescribes documents that must accompany an industrial mining licence application, does not require a concluded EIA.

In relation to the aforementioned first ground relied upon by the Petitioner, I am of the view that the text of condition 12 is sufficiently clear in that it expressly indicates that the mining licence application should be submitted *"on completion of EIA/IEER process."*

I am also unable to agree with the Petitioner's second ground and I observe that condition 12 clearly articulates that the submission of the mining licence application is contingent upon completion of the EIA/IEER process. Although condition 12 does not set out a time limit to complete the EIA/IEER, it nevertheless makes it abundantly clear that a mining licence application should not be submitted until the completion of such EIA/IEER process.

The fourth ground cited by the Petitioner too is untenable, since the GSMB had repeatedly informed the Petitioner of the requirement to complete the EIA/IEER process, as evidenced by the correspondence marked P17(a), P17(b), P17(c) and P17(f). Although the GSMB may have extended the period for compliance, it is pertinent to note that the GSMB has consistently insisted on compliance with such condition and has at no point in time sought to grant a waiver from compliance.

In this regard, I further wish to observe that condition 12 specifies completion of the EIA/IEER process as a requirement to apply for a mining licence, and not a consideration in granting a retention period in respect of an exploration licence. Thus, the grant of a retention period *per se* does not excuse or exempt an applicant for a mining licence from such requirement or cure any breach of licensing conditions in relation to a submission of a mining licence application.

The third ground relied upon by the Petitioner requires consideration of the provisions of section 61(1) of the Mines and Minerals Act, which is as follows;

> *61. (1) The holder of a licence issued under this Act, shall carry out the activities authorized by such licence in compliance with such standards and procedures as are prescribed for the carrying out of such activities by the National Environment Act, No. 47 of 1980 and where such licence is for exploration or mining the holder of the licence shall restore and rehabilitate the land on which such exploration or mining had been carried out, in the manner prescribed by that Act or this Act.*

The argument presented in paragraph 187 of its written submissions and by the learned President's Counsel for the Petitioner was that the completion of the environmental clearance process was not a condition precedent or requirement to apply for a mining licence and that such environmental clearance was only required when the holder of the licence sought to engage in "activities" authorized by the licence.

I am unable to agree with the aforementioned interpretation of section 61(1) advanced by the learned President's Counsel for several reasons. Firstly, to my mind, the text of section 61(1) is clear and unambiguous and the intention and effect of such section is to establish and

recognize the obligation of a licence holder to carry out activities authorized by the licence in compliance with the standards and procedures prescribed for such activities by the National Environmental Act. I do not think that such text intends to specify a point in time at which such environmental clearance should be obtained or becomes necessary, as would be the effect of such section if the Petitioner's interpretation is accepted.

Secondly, it is observed that the rehabilitation of the site where exploration and mining has been carried out has been specified as a mandatory obligation in section 61(1). Considering the significance attached and the mandatory nature of such obligation, it would be reasonable to assume that the capability of the party seeking to engage in exploration or mining to rehabilitate the site is a relevant factor to be considered and ascertained at the time the entitlement to grant of the exploration or mining licence is considered. Hence, I am of the view that interpretation advanced by the Petitioner would create an internal inconsistency within the said section 61(1) and adversely impact the implementation of the aforementioned mandatory obligation to rehabilitate the site.

Thirdly and perhaps most significantly, the interpretation advanced by the Petitioner is inconsistent with the provisions of the National Environmental Act, No. 47 of 1980 (as amended). The necessity of obtaining an EIAR is set out in section 23BB of the National Environmental Act as follows;

> *23BB. It is the duty of project approving agencies to require from anyone submitting any prescribed project for its approval to submit an initial environmental examination report or an environmental impact assessment report as required by the project approving agency*

Accordingly, the Minister is empowered to specify the State Agencies which shall be project approving agencies under section 23Y of the said Act and to determine the projects in respect of which environmental approval is necessary under section 23Y thereof by order published in the Gazette. In terms of the Extraordinary Gazette Notification No. 772/22 dated 18.07.1993 (R4) consequently, the GSMB has been designated as a "project approving agency" and "mining and mineral extraction" has been designated as a "prescribed project."

In their objections and written submissions, the 1st to 3rd Respondents have elucidated that environmental approvals within the North Western Province are governed by Part VII of the Provincial Environmental Statute, titled "Approval of Projects," read together with the Environmental Impact Assessment Regulations No. 1020/21 dated 27.03.1998, promulgated under section 61 of the said Statute.[14] It has been further stated that, under such framework, prescribed projects are required to undergo either an EIA or IEER, depending on the nature, scale, magnitude, and potential environmental impacts of the proposed activity. In the instant case, it is re-iterated that the 5th Respondent had accordingly issued a Terms of Reference (TOR) for an EIA (P15(e)). Such TOR had been issued on 10.10.2023 with a validity period of 18 months.

[14] Vide paragraph 14 of the objections of the 3rd Respondent and paragraphs 108 to 110 of the written submissions of the 1st to 3rd Respondents.

Regarding the argument that Regulation 13 does not require a completed EIA to accompany the industrial mining licence application, I take the view that the mere non-reference in the said Regulation 13 would not have the effect of excusing or exempting the Petitioner from fulfilling such requirement, in the light of the other statutory provisions referred to and condition 12 of the exploration licence itself.

In such circumstances, it is my view that condition 12 complements section 61(1) of the Mines and Minerals Act and that it is only the interpretation advanced by the Petitioner that would cause an inconsistency.

With regard to the aforementioned position taken up by the Petitioner that an EIA is not required for the consideration of the issuance of an industrial mining licence, the Respondents have pointed out that the conduct of the Petitioner itself demonstrates that it has expressly and consistently acknowledged and accepted the requirement to complete EIA clearance to apply for an industrial mining licence. In fact, the consistent position taken up by the Petitioner has been that the failure to complete the EIA was due to the wrongful obstruction of the SLCC and not due to any failing on the part of the Petitioner. Such position has been referred to in its written submissions as well and it has stated that it would be patently unjust and illogical for the Petitioner to be penalized for same.[15]

Considering the representations made by the Petitioner in the letters marked P12, P17(f) and P17(h) and steps taken to obtain a TOR (P15(e)), I am inclined to accept such position that the Petitioner has taken up contradictory positions on the issue. In their written submissions, the 1st to 3rd Respondents have characterized the position taken up by the Petitioner as a "baseless, self-serving argument advanced solely to circumvent statutory requirements in light of the Petitioner's inability to secure environmental clearance within the stipulated timeframe."[16]

Such conduct on the part of the Petitioner also raises the issue of approbation and reprobation and *Estoppel*, which is repugnant to the law. In its written submissions, Asha Minerals has referred to the observations made by the Supreme Court in ***Visuvalingam v. Liyanage (No. 1)***[17] on this issue (per Sharvananda, J. (as he then was);

> *The principle that a person may not approbate and reprobate is a species of estoppel intermediate between estoppel by record and estoppel by conduct.*
>
> *"The phrases "approbating and reprobating" or "blowing hot and cold" must be taken to express, first, that the party in question is to be treated as having made an election from which he cannot resile, and secondly, that he will not be regarded..... as having so elected unless he has taken a benefit under or arising out of the course of conduct which he has first pursued and with which his present action is inconsistent" - Per Evershed M.R., (1950) 2 A.E.R. 549 at 552.*

[15] Petitioner's written submissions, paragraph 231.
[16] Written submissions of the 1st to 3rd Respondents, paragraph 97.
[17] [1983] 1 Sri L.R 203 at 230.

"The doctrine of approbation and reprobation requires for, its foundation, inconsistency of conduct, as where a man, having accepted a benefit given to him by a judgment cannot allege the invalidity of the judgment. which confers the benefit" – Lord Russel in Evans Vs Bartlam[18].

"In cases where the doctrine of approbation and reprobation does apply, the person concerned has a choice of two rights either of which he is at liberty to accept, but not both. Where the doctrine does apply if the person to whom the choice belongs irrevocably and with knowledge adopts the one, he cannot afterwards assert the other," Per Lord Atkin in Lissenden Vs. Bosch Ltd.[19]

A person cannot adopt two inconsistent positions, he cannot affirm and disaffirm; he is presumed to waive one right and elect to adopt the other.

Reference was also made in the said written submissions to ***W.M. Dhanapala Menike v. Dayananda Colombage, Divisional Secretary and others,***[20] wherein the Supreme Court opined as follows (per Samayawardhena, J.):

The doctrine of waiver is a legal principle that allows an individual to voluntarily relinquish or abandon a right or benefit that is otherwise available to him. The doctrine of estoppel stems from the maxim 'allegans contraria non est audiendus', which means a person establishing contradictory facts shall not be heard. It is evident that this doctrine finds its foundation in equity and justice in that a man should not be allowed to blow hot and cold, approbate and reprobate, and affirm and disaffirm the same to suit the occasion.

The conduct of the Petitioner in this case clearly indicates that it has consistently acted on the premise that completion of environmental clearance by means of an EIA was required to apply for and obtain an industrial mining licence application, and, as such, it is *estopped* at this stage from taking up the contrary position that an EIA is not required for such purpose.

Without prejudice to the above, the importance of environmental clearance has been discussed and emphasized in decisions of our Superior Courts. Such issue has been extensively discussed in ***Ravindra Gunawardena Kariyawasam v. Central Environmental Authority (the Chunnakam Case)***[21] and the Supreme Court made the following observations (per Prasanna Jayawardena, J.);

As stated earlier, "prescribed projects" which require approval under Part IV C of the Act are those which are likely to have a significant impact on the environment, and which must, therefore, be examined carefully with the submission of an IEER or EIAR to the project approving agency, before approval is granted to implement such projects.

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[18] [1937] 2 All ER 646, 652.
[19] [1940] A.C. 412, [1940] 1 All ER 405,412.
[20] SC Appeal No. 166/2017, SC Minutes dated 09.11.2023.
[21] SCFR Application No. 141/2015, SC Minutes dated 04.04.2019.

In BULANKULAMA vs. MINISTRY OF INDUSTRIAL DEVELOPMENT [2000 3 SLR 243 at p.315], Amerasinghe J refers to the "Guide for Implementing the EIA Process, No. 1 of 1998" issued by the CEA states "The purposes of environmental impact assessment (EIA) are to ensure that developmental options under consideration are environmentally sound and sustainable and that environmental consequences are recognized and taken into account early in project design. EIAs are intended to foster sound decision making, not to generate paperwork. The EIA process should also help public officials make decisions that are based on understanding environmental consequences and take actions that protect, restore and enhance the environment."

These observations by Amerasinghe J refer to the vital function that an EIAR performs in ensuring that the adverse environmental impact of a "prescribed project" are minimised by identifying them after hearing the public and, thereafter, formulating methods to counter these adverse environmental impacts, as far as is possible.

The importance of obtaining and carefully considering IEERs and EIARs before permitting the implementation of a "prescribed project" is highlighted in Principle 17 of the Rio Declaration on Development and the Environment, 1992 ["the Rio Declaration"] which states "Environmental impact assessment, as a national instrument, shall be undertaken for proposed activities that are likely to have a significant adverse impact on the environment and are subject to a decision of a competent national authority."

The insistence on obtaining and considering an IEER or EIAR before permitting the implementation of a "prescribed project" is a practical and effective method of putting into effect the `Prevention Principle" and its ally, the `Precautionary Principle" which are guiding lights of modern environmental law. As Burnet-Hall observes [Environmental Law 3rd ed. at p.88], "The prevention principle has a meaningful role where foreseeable environmental harm is likely as a consequence of proposed action; the precautionary principle comes into play where not only the likelihood of harm, but also its nature and extent, may all be uncertain." These principles are based on the common sense dictate that a society should seek to avoid environmental damage which may result from proposed projects, by exercising care, foresight and forward planning. Simply put, that, as the old adage says, "It is better to be safe than sorry." The approach that States should be guided by the `Precautionary Principle" where there is an element of uncertainty with regard to the environmental harm that may be caused by a proposed project is highlighted in Principle 15 of the Rio Declaration, which states "In order to protect the environment, the precautionary approach shall be widely applied by states according to their capabilities. Where there are threats of serious or irreversible damage, lack of full scientific certainty shall not be used as a reason for postponing cost-effective measures to prevent environmental degradation."[22]

In their written submissions, the 1st to 3rd Respondents have particularly referred to the decision of the Supreme Court in ***Sarath Fernando, Conservator General of Forests v. P.B.S.***

[22] Ibid, pp 47-48.

Dissanayake and others (Uva Magnetite Mining Case),[23] which also related to environmental clearance in relation to an application for an industrial mining licence for mining and processing magnetic iron ore. In relation to the importance of an EIA procedure, the Court has observed as follows (per Kodagoda, J.):

1. *The importance of the EIA procedure is illustrated in various environment-related international instruments. Furthermore, the importance and the purpose of EIAs is contained in several key national documents.*

2. *In this regard, the guidelines promulgated by the CEA are of particular importance. It is titled as 'Guidance for Implementing the Environmental Impact Assessment (EIA) Process: No. 1 – A General Guide for Project Approving Agencies' (4th Edition – 2006).*

   Item 1.1 of 1 of this Guide provides the following:
   "The purposes of Environment Impact Assessment (EIA) are to ensure that development options under consideration are environmentally sound and sustainable and that environmental consequences are recognised and taken into account early in project design. EIAs are intended to foster sound decision-making, not to generate paperwork. The EIA process should also help public officials make decisions that are based on understanding of environmental consequences, and take actions that protect, restore and enhance the environment."

   It is seen from these guidelines that principles such as the precautionary principle, sustainable development, principle of rational planning, inter-generational equity and transparency are embedded in the EIA process.

3. *Furthermore, in terms of section 23BB(4), where approval is granted for the implementation of the prescribed project, such approval shall be published in the Gazette and in one newspaper in the Sinhala, Tamil and English languages. (It is that step of publication in the Gazette which the Petitioner – Respondent is insisting that the 7th Respondent – Appellant implements.) Thus, it is seen that, section 23BB(3) read with section 23BB(4) of the Act has conferred on the Project Approving Agency (the Head of which is the 7th Respondent – Appellant) discretionary authority in determining whether or not approval should be granted to a particular proposed project. The Project Approving Agency is not expected to act in a perfunctory manner. Doing so would be unlawful.*[24]

I am in full agreement with the observations made in aforementioned decisions of the Supreme Court. In relation to the instant case, it is noted that the TOR issued by the 5th Respondent for an EIA (P15(e)) not only identifies the environmental concerns arising out of the proposed project and the mitigatory measures to be adopted but also seeks to ascertain the commitment and the capability of the Petitioner to comply with same.

[23] SC Appeal No. 137/2017, SC Minutes dated 08.10.2024.
[24] Vide pp 23-24 of the judgment.

In their written submissions, the 1st to 3rd Respondents have referred to the current status of the environmental clearance process.[25] It has been accordingly stated that the EIA submitted by the Petitioner is under consideration by the 5th Respondent, and that, as part of such statutory process, observations have been sought from relevant stakeholder institutions, including the GSMB, Irrigation Department, Department of Forest Conservation and National Water Supply and Drainage Board.[26] The GSMB, as the primary technical authority, had identified certain deficiencies in the EIA submission and had communicated same to the 5th Respondent, whereupon a Project Approving Committee had been constituted to ascertain whether such deficiencies had been adequately rectified.

Upon consideration of the entirety of the evidence available to this Court on this issue, it is evident and not in dispute that the EIA clearance process has not been completed, to date, and, in any event, it was not complete at the time the industrial mining application (P16) was submitted by the Petitioner on 17.02.2023. Thus, *ex facie* there is a breach of condition 12 of the licence conditions on the part of the Petitioner.

With regard to the reasons for the Petitioner's failure to complete the EIAR clearance process, it is observed that the parties have taken up competing and conflicting positions. Thus, in my mind, the facts remain in dispute on this issue. It is a well established principle that in applications for judicial review that the Court will not intervene where facts are in dispute. On this issue, in ***Thajudeen v. Sri Lanka Tea Board and another,***[27] this Court (per Ranasinghe, J. (as he then was)) held as follows;

> *That the remedy by way of an application for a Writ is not a proper substitute for a remedy by way of a suit, specially where facts are in dispute and in order to get at the truth, it is necessary that the questions should be canvassed in a suit where the parties would have ample opportunity of examining their witnesses and the Court would be better able to judge which version is correct, has been laid down in the Indian cases of: Ghosh v. Damodar Valley Corporation, Parraju v. General Manager B. N. Rly.*

In such circumstances, I do not wish to make any determinations on this issue. I further observe that, in any event, a determination on this issue is not necessary to determine the entitlement of the Petitioner to the reliefs that have been sought, but it suffices to re-iterate the breach of condition 12 of the Licence by the Petitioner.

3. <u>Statutory Disqualifications</u>

The Petitioner contends that it is not "otherwise disqualified under any other provisions of this Act from obtaining a licence for mining minerals" as contemplated in section 48(3) of the Mines and Minerals Act since it is not subject to any of the disqualifications set out in section 29 of the Act.[28] The Petitioner further states that such list of disqualifications in section 29 is

[25] Written submissions of the 1st to 3rd Respondents, paragraphs 90 and 91.
[26] Written submissions of the 1st to 3rd Respondents, paragraph.
[27] [1981] 2 Sri L.R 471.
[28] Petitioner's written submissions, paragraph 191.

exhaustive.[29] I am unable to accept such position since the reference in section 48(3) to "disqualifications under any other provisions the Act" clearly indicates disqualifications may arise from provisions other than section 29 as well.

Although the Petitioner has stated that the Respondents nor any other party has cited any provisions of the Mines and Minerals Act or its regulations that would disqualify the Petitioner from obtaining the industrial mining licence,[30] this is clearly not the case. In fact, the Respondents have raised the issue of compliance with section 51 of the Act, which relates to the consent of the owner of the land in which the mining is to take place. I now intend to examine such provisions cited by the Respondents.

(a) Consent of the Land Owner

The Respondents have taken up the position that the consent of the owner of the land is a mandatory requirement in terms of section 51 of the Mines and Minerals Act and that the Petitioner has failed to obtain the same.

Section 51 of the Mines and Minerals Act titled "right of a holder of a licence to possess area specified in licence" provides as follows;

> *51. The holder of a licence issued under this Act shall have the right to enter and possess any area of land specified in such licence:*
>
> *Provided that where the owner or state organization of any such area of land is in possession of such area of land, the holder of the licence shall not exercise the rights conferred on him by this section except with the consent of such owner or state organization.*

It transpires from the pleadings and the submissions of the parties that the subject land in Aruwakkalu, Puttalam is vested in the Sri Lanka Cement Corporation (SLCC) by virtue of an order made in terms of section 25 of the State Industrial Corporations Act, No. 49 of 1957, published in the Gazette Extraordinary No. 492 dated 01.01.1959.[31] The said land has been leased by the SLCC to Messrs. Siam City Cement (Lanka) Limited (INSEE Cement) for limestone mining for a period of 50 years, with effect from 29.12.1993, with the approval of the Cabinet of Ministers.[32] At the hearing of these applications, the learned State Counsel clarified that limestone mining is conducted by INSEE Cement under a mining licence issued by the GSMB.

It further transpires that access to the land had been granted by SLCC to the Petitioner, upon payment of a "gate access fee" and that such grant of access had been extended finally by SLCC for a period of 06 months by its letter dated 22.08.2023 (P22).

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[29] Ibid.
[30] Ibid, paragraph 193.
[31] vide paragraphs 5 and 78 of the petition.
[32] vide letters addressed by the Secretary, Ministry of Industries to the Petitioner dated 23.05.2023 (P27) and 16.06.2023 (P28) annexed to the petition.

The petition and the objections of the 1st Respondent reveal that a dispute had arisen between the Petitioner and the SLCC over payments to be made to the SLCC and an "implementation agreement" entered into by the SLCC with Asha Minerals for a "value addition pilot project - Aruwakkalu for extraction and separation of heavy minerals from overburden red soil."[33] The Petitioner has pleaded that the 1st Respondent unjustly and maliciously blocked land access to the site by withholding "no-objection" letters required to obtain an industrial mining licence due to "vested interests and ulterior motives, which are evident through its unlawful and irregular dealings with Asha Minerals."[34] Such allegations made by the Petitioner have been rejected by the SLCC as well as by Asha Minerals. Whatever may the merits of the positions taken up by the Petitioner, SLCC and Asha Minerals be, the resultant factual position is that the Petitioner did not have consent from the owner to access the site after the expiry of the 06-month access period granted by the letter (P22) (i.e. 22.02.2024).

Now I will proceed to examine the positions taken up by the parties on this issue. In raising the objection that the Petitioner has failed to obtain the consent of the SLCC, which is the owner of the land, the Respondents have taken up the position that obtaining such consent of the owner is a mandatory statutory pre-condition to obtain a mining licence.

Elaborating such position,[35] Asha Minerals adverted to the requirement to submit an application in compliance with section 34 of the Mines and Minerals Act. The prescribed form for an application of an industrial mining license (Form 3.1) referred to in the said section 34 has been set out in the Mining (Licensing) Regulations, as amended by the Extraordinary Gazette Notification No. 2130/45 dated 04.07.2019 (R3) and clause 6(b) thereof requires the following information;

> *6. Details of licence area*
>
> …
>
> *(b) <u>Land owners' name (if not owned by applicant, attach lease Agreement or an Affidavit)</u>*

Thus, the argument has been presented that, in order to comply with section 34 of the Mines and Minerals Act and make an application in the prescribed form in law, the Petitioner was required to either submit a lease agreement with the owner or an affidavit from the owner, as admittedly the Petitioner was not the owner of land in respect of which the mining licence was sought.

A perusal of the Petitioner's industrial mining licence application (P16) reveals that such clause 6(b) has been merely filled in as *"Sri Lanka Cement Corporation"* but no reference to a lease agreement or affidavit has been made therein. Clause 6(a) which relates to "Name of Land (attach copy of Deed or Survey Plan)" has been left blank.

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[33] The principal Implementation Agreement No. 1090 dated 10.04.2023 and the Supplementary Agreement No. 1183 dated 24.11.2023 and a Deed of Rectification thereto have been annexed to the petition marked as P26, P29 and P30 and to the objections of the 1st Respondent marked 1R27(a) and 1R27(b) respectively.

[34] vide paragraphs 115 and 116 of the petition.

[35] Written Submissions of the 4th Respondent, paragraphs 55 to 57.

In response, the Petitioner, in submissions filed and made by the learned President's Counsel at the hearing, has taken up the position that the consent of the land owner is not a precondition for the issuance of an industrial mining licence under the Mines and Minerals Act. Such argument presented by the Petitioner is detailed in paragraphs 207 to 221 of its written submissions and is premised on the following propositions.

Firstly, the Petitioner argues that section 51 of the Act confers a statutory right conferred by the licence itself, operating independently of any consent from the surface owner and that the mining licensee's right to enter and possess the licensed area derives from the statute, not from any agreement with the landowner.[36]

Secondly, it is argued that sections 61(2) and 61(3) of the Act provide a comprehensive mechanism to overcome surface owner refusal. The said sections are reproduced below, in the interests of clarity:

> *61. (2) Where a licence has been issued under this Act, the Bureau may require the surface owner or occupant of the land to which such licence relates, to allow the licensee access to such land and leave to carry out thereon the activities authorized by such licence.*
>
> *(3) Where the surface owner or occupant of any land who fails to comply with any requirement imposed on him by subsection (2), the Bureau shall report such matter to the Minister. The Minister may thereupon by Order published in the Gazette approve of the proposed acquisition of the land or in any interest on the land to which such licence relates and where such an Order is so published, the land or the interest in the land specified in the Order shall be deemed to be required for a public purpose and may be acquired under the land Acquisition Act.*

Based on such provisions, the Petitioner contends that the surface owner has no veto power over the issuance of a mining licence and that the Act provides its own access mechanism, displacing any purported consent requirement.[37] If the surface owner withholds consent, the GSMB can require the owner to allow access under section 61(2), and, if the owner still refuses, the Minister can acquire the land compulsorily under section 61(3) as a "public purpose."[38]

Thirdly, responding to the requirements set out in the proviso to section 51, the Petitioner contends that it only applies where the "owner or state organization... is in possession of such area of land."[39] In this instance, since the landowner is the SLCC or the State and as it is common ground that INSEE Cement and not the SLCC is in possession, the Petitioner concludes that the proviso is not applicable.[40]

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[36] Petitioner's written submissions, paragraphs 208 and 209.
[37] Ibid, paragraph 212.
[38] Ibid.
[39] Ibid, paragraphs 215 to 220.
[40] Ibid, paragraph 220

It is incumbent upon this Court to consider the merits or otherwise of the aforementioned argument presented by the Petitioner. In relation to the first proposition, it is my view that the statutory right conferred by section 51 of the Mines and Minerals Act is not absolute or independent and is contingent upon the consent of the owner of the land. The interpretation sought to be placed by the Petitioner does not take into account the purpose and effect of the proviso to the said section. Bindra in *Interpretation of Statutes* has commented on the proper function of a proviso in the following terms;

> *The proper function of a proviso is that it qualifies the generality of the main enactment by providing an exception and taking out, as it were, from the main enactment, a portion which, but for the proviso, would fall within the main enactment.*[41]

I am of the view that section 51 should be read and interpreted in a manner that takes into account and gives effect to the contents of the proviso thereto.

The proviso to section 51 of the Act essentially serves the purpose of establishing the relationship between the prospective licensee and the owner of the land, which is not only critical for the successful implementation of the licence but is also a matter that should be clarified to the GSMB at the point the issuance of the licence itself is considered.

I am also unable to agree with the second proposition advanced by the Petitioner. It is my view that sections 61(2) and (3) have to be read in conjunction with section 51 and not disjunctively. If the interpretation advanced by the Petitioner is accepted, then section 51 would become redundant. The provisions of sections 61(2) and (3) are intended to apply to situations where certain requirements are imposed by the GSMB on the surface owner or occupant and are not complied with after a licence is granted. The use of the word "shall" in section 51 and the word "may" in section 61(2) too militate against the notion that a licensee enjoys an absolute right of access and that the rights of the owner are of no consequence. I am of the view that another factor that cannot be ignored in interpreting the aforementioned clauses is that section 61 relates to the application of standards and procedures of the National Environmental Act, whilst section 51 addresses the issue of access and possession of the site.

With regard to the third proposition, I am inclined to the view that the interpretation advanced by the Petitioner has the effect of distorting and rendering the proviso to section 51 redundant. The clear intention of the proviso is to require a prospective licensee who is not the owner of the land to obtain the consent of the owner. The provisions of clause 6(b) of the prescribed form for an industrial mining license application (Form 3.1) reinforce such view.

In this context, it is further observed that the words "owner or state organization…. in possession" may have been used as there may be situations where state organizations may be in occupation of lands without owning the same. However, there could be no such doubt in the instant case since the Petitioner has expressly accepted the fact that the SLCC is the owner of the subject land in its possession. Hence, I am of the view that it was incumbent upon the Petitioner to obtain the consent of the SLCC to access the site. It is clear that the Petitioner has failed to obtain such consent, as required by section 51 read with section 34

[41] N.S. Bindra, *Interpretation of Statutes* (13th ed, LexisNexis 2023) 307.

and clause 6(b) of the prescribed form for an application to an industrial mining license (Form 3.1).

Without prejudice to my aforementioned findings, as in the case of the argument presented that environmental clearance was not a pre-condition, the above argument that consent of the land owner too is not a pre-condition for the issuance of an industrial mining licence too was taken by the Petitioner at the stage of argument and is contrary to its own previous conduct and its pleadings. This is none more evident than in paragraph 115 of the petition, wherein the Petitioner has pleaded as follows;

> *115. The Petitioner states that the actions of, inter alia, the SLCC and its Chairman to block land access to the Aruwakkalu site and/or unjustly withhold Letters of "No-Objection" required for the Petitioner to obtain an Industrial Mining Licence and proceed with the proposed project effectively render nugatory the statutory protections afforded to the Petitioner and the legitimate expectations of the Petitioner.* (emphasis added)

Furthermore, the documents attached to the petition marked P17(f), P18, P20(a)-(g), P21 (a) and (b), P22, P23, P24(a)-(d) and P25 clearly demonstrate that the Petitioner had consistently acted upon the premise that consent of the SLCC was required for gain site access and had made requests and representations to the SLCC and other State institutions to obtain such access with a view to obtaining an industrial mining licence. Thus, whilst reiterating the judicial authorities on the issue of approbation and reprobation already cited by me, I am compelled to hold that the Petitioner is also *estopped* at this stage from taking up the contrary position that the consent of the owner of the land for site access is not a pre-condition to obtain an industrial mining licence. As referred by me at the commencement of my inquiry on this issue, since the reasons for the Petitioner's failure to obtain the consent of the SLCC remains a disputed fact, I do not intend to make any findings on such issue. In my view, neither would any findings on such issue be required to determine the Petitioner's entitlement to the reliefs that it has sought in the instant application.

In conclusion on this issue, I wish to refer to the observations made by the Constitutional Court of South Africa in ***Bengwenyama Minerals (PTY) Ltd v. Genorah Resources (PTY) Ltd,***[42] which considered the lawfulness of the grant to a company of a prospecting right on the land of another, that has been cited in the written submissions filed on behalf of Asha Minerals. The following observations underscore the significance of consultation between an applicant for mining rights and a landowner or occupant and the necessity to balance their rights and interests (per Froneman, J.);

> [*63] These different notice and consultation requirements are indicative of a serious concern for the rights and interests of landowners and lawful occupiers in the process of granting prospecting rights. It is not difficult to see why: the granting and execution of a prospecting right represents a grave and considerable invasion of the use and enjoyment of the land on which the prospecting is to happen. This is so irrespective of*

[42] [2010] ZACC 26.

whether one regards a landowner's right as ownership of its surface and what is beneath it "in all the fullness that the common law allows," or as use only of its surface, if what lies below does not belong to the landowner but somehow resides in the custody of the state.

……

[65] One of the purposes of consultation with the landowner must surely be to see whether some accommodation is possible between the applicant for a prospecting right and the landowner insofar as the interference with the landowner's rights to use the property is concerned. Under the common law a prospecting right could only be acquired by concluding a prospecting contract with the landowner, something which presupposed negotiation and reaching agreement on the terms of the prospecting contract. The Act's equivalent is consultation, the purpose of which should be to ascertain whether an accommodation of sorts can be reached in respect of the impact on the landowner's right to use his land.[43]

The observations made above are of particular relevance since, apart from the Petitioner's project to mine ilmenite, INSEE Cement, which is the current lessee is also engaged in mining limestone on the land. Thus, the accommodation of the interests of the owner of the land as well as the aforementioned parties engaged or seeking to engage in mining activities is a matter for consideration for regulatory authorities as well as the parties themselves.

(b) Proof of Financial Investment

Asha Minerals have further raised the objection that the Petitioner has failed to establish compliance with Regulation 4(14)(e) of the Mining (Licensing) Regulations, as amended by the Extraordinary Gazette Notification No. 2313/17 dated 04.01.2023 (R2). The said Regulation 4(14)(e) provides as follows;

4(14)(e) The licensee shall, within two years from the date of completion of the exploration or expiry of the Exploration license, apply for a mining license. In such instance the applicant of the Mining License shall submit proof of financial investment at least for 20% of the total proposed project program approved by the Bureau, in a licensed commercial bank in Sri Lanka. Where the licensee has submitted a request for retaining the potential area along with the relevant fee, the Bureau shall not consider any other application for exploration license during the period so retained.

In this context, I wish to observe that the project programme referred to in the aforementioned regulation, including the cost thereof, is not before this Court. In such circumstances, I do not intend to inquire into such matter or make any findings thereon.

[43] Ibid, pp 38-40

Compliance with Industrial Mining Licence Application Requirements

In addition to compliance with the requirements set out in section 48(3) of the Mines and Minerals Act, the Petitioner has also taken up the position that it has complied with the procedural requirements for an industrial mining licence application, presumably referring to the requirements specified in the Mining (Licensing) Regulations.[44] In such context, the Petitioner has referred to the following matters;

(a) The Petitioner's industrial mining licence application (P16) is not blank and it is a filled-up application form and has been received by the GSMB on 20.02.2023.[45] On this issue, I wish to re-iterate that the copy of the said application which has been tendered to this Court with the petition contains parts that have been left blank and unfilled, whilst the attachments referred thereto have also not been tendered to this Court. Hence, I am unable to agree with the Petitioner's position that it is a filled-up form and, at best, it can be considered partially filled and an incomplete application form.

(b) The Petitioner has asserted that the GSMB has never taken up the position that a detailed mine restoration plan was not submitted and had not annexed the same to its counter affidavit since the submission of such plan had not been put in issue by any party at that stage and had only been raised by the learned President's Counsel for Asha Minerals at the stage of argument.[46] On this issue, I wish to comment that, if such mine restoration plan was submitted to the GSMB with the Petitioner's application, it has nevertheless not been attached to the copy of the application form filed in this Court by the Petitioner with its petition (P16). I further wish to point out that, although reference is made in P16 to certain attachments, no specific reference has been made therein to a mine restoration plan. In the absence of the said mine restoration plan, I do not intend comment on the issue any further.

(c) The Petitioner states that it had tendered the survey plan compiled by a licensed surveyor conforming to the SLD 99 datum by letter dated 15.09.2023 (P17)h)).[47] Such position is borne out by the letter (P17(h)), though the survey plan itself is not attached thereto.

(d) The Petitioner has identified the "only remaining issues" as (a) land owner's consent and (b) environmental clearance. Such a statement may be construed as an acknowledgement or admission that such issues remained unresolved at the time the industrial mining licence application (P16) was lodged by the Petitioner. The said issues have already been addressed by me in this judgment.

When the totality of the circumstances set out above are considered, I am of the view that the Petitioner, Puttalam Ilmenite, has failed to establish its legal entitlement for the issuance of an industrial mining licence in terms of section 48(3) of the Mines and Minerals Act. The Petitioner is in breach of conditions of the Exploration Licence EL/410 and several statutory

[44] Petitioner's written submissions, paragraph 194.
[45] Ibid, paragraph 196.
[46] Ibid, paragraphs 197 to 201.
[47] Ibid, paragraph 202.

provisions of the Act arising out of its failure to complete the environmental clearance process by means of an EIA and the failure to obtain the consent of the land owner, namely, the SLCC, to access the site, when its application for an industrial mining licence was made. Further, I am of the view that the application form submitted by the Petitioner, as available to this Court, is incomplete.

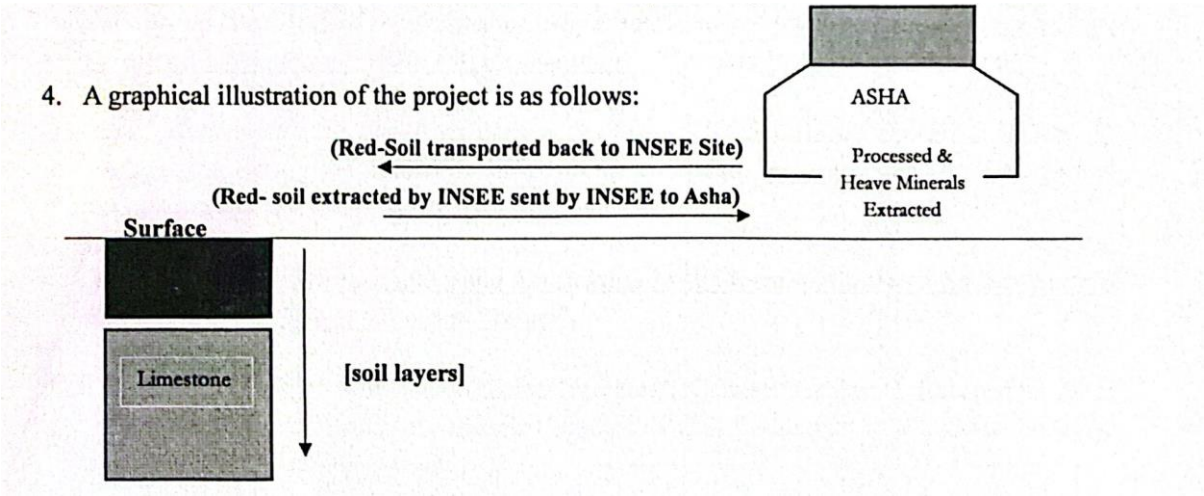
Entitlement of Asha Minerals (Petitioner in CA Writ 200/2024)

It is re-iterated that the nexus between CA Applications Nos. 169/2024 and 200/2024 has arisen due to the fact that the Petitioners in the two applications have sought licences under the Mines and Minerals Act relating to the mineral ilmenite in the same land in Aruwakkalu, Puttalam owned by the SLCC. The Petitioner in CA Writ 169/2024 (Puttalam Ilmenite) has sought an industrial mining licence, whilst the Petitioner in CA Writ 200/2024 (Asha Minerals) has sought to obtain a trading licence. Both Petitioners have taken up the position that the grant of relief sought by the other party obstructs and interferes with their rights and/or legitimate expectations and the reliefs sought by them and have accordingly objected to the grant of the reliefs sought by the opposing party.

In paragraph 3 of its written submissions, the Petitioner (Asha Minerals) has described its proposed project in the following terms;

3. *The project proposed by the Petitioner is a value addition project involving the extraction of heavy minerals deposited in 'overburden' red soil (i.e., soil that is situated above limestone that is dug up/excavated by Siam City Cement (Lanka) Limited [INSEE Cement] who is mining for limestone and filling it back); an extraction and processing of minerals. Not "mining".*

4. *A graphical illustration of the project is as follows:*



In its petition, the Petitioner has disclosed that it had entered into an agreement with the SLCC (2nd Respondent) titled "Implementation Agreement of Value Addition Pilot Project-Aruwakkalu Extraction and Separation of Heavy Minerals from Overburden Red Soil" bearing No. 1090 dated 10.04.2023 (P6) to give effect to the project, and, that thereafter a Supplementary Agreement bearing No. 1183 dated 24.11.2023 (P8(a)) and a Deed of Rectification bearing No. 1189 dated 05.12.2023 (P8(b)) had been executed between the said parties to address concerns raised by INSEE Cement[48] with the SLCC (2nd Respondent). The nature of such project will be examined in greater detail elsewhere in this judgment, as required.

It is observed that the substantive reliefs sought by Asha Minerals in the instant application can be broadly categorized into two groups considering their nature and focus. The first group consists of reliefs sought in respect of applications made by the Petitioner itself and includes a writ of *Certiorari* to quash the decision of the GSMB contained in the letter dated 22.03.2024 (P15) to reject its application for a trading licence, and, a writ of *Mandamus* to direct the Respondents to accept an application from the Petitioner for a trading license and process same in terms of the law and issue a trading licence in respect of the land in Aruwakkalu.

At the hearing of this application, based on the submission made by the learned State Counsel for the 1st, 2nd, 4th to 9th Respondents that, if a formal application is made by the Petitioner for a trading application, the GSMB will process it according to law, it was clarified by the learned President's Counsel for the Petitioner that the Petitioner will confine its relief in respect of the writ of *Mandamus* to a direction to process a lawful application made by the Petitioner for a trading licence (instead of granting the said licence as well).[49] Consequently, the Petitioner has further clarified that, in view of the concession to process a lawful application, the Court will not be required to inquire into the merits of granting a writ of *Mandamus* for a trading licence.[50]

The second group consists of reliefs sought against the applications made by Puttalam Ilmenite Limited, which has been cited as the 3rd Respondent, including writs of *Certiorari* to quash the exploration and retention licences granted to Puttalam Ilmenite and writs of *Prohibition* to prevent the GSMB from granting an industrial mining licence to the said Puttalam Ilmenite to mine and process mineral sands at the land in Aruwakkalu and to prevent the SLCC from permitting Puttalam Ilmenite to access the said land.

I propose to examine the first category of reliefs sought by the Petitioner in the first instance.

<u>The Decision of the GSMB (1st Respondent) in the Letter dated 22.03.2024 (P15)</u>

The Petitioner has impugned the decision of the GSMB to reject its application for a trading licence for mineral sands at Aruwakkalu contained in the letter dated 22.03.2024 (P15). The Petitioner has sought to quash such decision on the ground that it has not made an application

[48] Ibid, paragraphs 10 and 13.
[49] Such clarification has been documented in paragraph 71 of the Petitioner's written submissions.
[50] Ibid, paragraph 72.

in terms of section 34 of the Mines and Minerals Act, and, that, "in the absence of a valid application in the format stipulated by law, there is nothing for the 1st Respondent to 'reject'."[51]

In their objections and in the submissions made by learned State Counsel at the hearing of this application, the GSMB has conceded that the Petitioner had not submitted a "formal application" in the prescribed form set out in the Mining (Licensing) Regulations but has nevertheless defended the issuance of the letter (P15) and the *vires* of decision contained therein. Such position taken by the GSMB is encapsulated in paragraph 16 of its statement of objections, which reads as follows;

16. *With reference to the averments contained in paragraphs 28, 29 and 30 of the Petition and the corresponding affidavit of the Petitioner, the 1st Respondent vehemently deny the averments contained therein and states as follows:*

    a) *Due to the Petitioner's repeated representations, as outlined in paragraph 25 of the Petition, the 1st Respondent's Bureau took steps to assess whether the Petitioner met the eligibility requirements for obtaining a trading license.*

    b) *Although the Petitioner had not submitted a formal application for consideration, the 1st Respondent's Bureau nonetheless took steps to address the ongoing requests made by the Petitioner.*

    c) *However, in the absence of a formal application, the Bureau concluded that the Petitioner had not met the essential criteria set forth in the relevant Act and Regulations, and consequently rejected the request, as reflected in document P15.*

    d) *It should be noted that should the Petitioner take the necessary steps to fulfill the criteria outlined in the Act and Regulations and submit a formal application for a trading license, the 1st Respondent's Bureau may then proceed with considering the issuance of such a license*

Puttalam Ilmenite (3rd Respondent) too has taken a position akin to that of the GSMB and have objected to the reliefs sought by the Petitioner on this issue.

I will proceed to examine the relative merits of the aforementioned positions taken up by the parties. The position taken up by the Petitioner presupposes that an application for a licence under the Mines and Minerals Act can only be made in the prescribed format stipulated by law. In fact, the prescribed format for a trading licence is set out in Form 4.1 of the Mining (Licensing) Regulations (R4). However, it is observed that, although the prescribed formats for applications are set out in the Mining (Licensing) Regulations, the submission of an application is the prerogative of the applicant, who may or may not use the prescribed format, and, as such, it is not a matter within the control of the GSMB.

[51] Petitioner's written submissions, paragraph 11.

The significance compliance with section 34 of the Mines and Minerals Act and consequently the prescribed format of the application (Form 4.1) is that non-compliance with such requirements would operate as a ground for the GSMB to reject such an application. Such reasoning has been clearly contemplated in ***Watte Gedara Wijebanda v. Conservator General of Forests and Others,***[52]when the Supreme Court commented as follows (per Tilakawardane J);

> *Accordingly, the 6th Respondent's position contradicts the position taken up by the 1st Respondent. In any event, it is clear that the 6th Respondent has not submitted an application for mining in the form set out in P1. The question then arises as to how a mining license was ever granted to the 6th Respondent without a valid application, in the established format, ever being made; especially as the 6th Respondent himself adverts only to an application for reforestation.*

The correspondence dated 13.02.2024 (P11(i)) and 01.03.2024 (P11(ii)) annexed to the petition demonstrates that Asha Minerals had made a presentation to a Technical Evaluation Committee (TEC) of the GSMB at its head office on 01.03.2023. The comment sheet maintained by the TEC on the subject "request for urgent assistance in obtaining approval to use the land and surface deposit in Arruwakkalu in Puttalam by Asha Minerals (Pvt) Ltd" too had been submitted to the Petitioner and has been annexed to the petition marked P11(iii). Moreover, the correspondence annexed to the petition dated 13.12.2023 (P12(i)) and 19.12.2023 (12(ii)) have been addressed by the Petitioner to the GSMB and specifically refer to "obtaining required licenses for Aruwakkalu Value Addition Pilot Project-Extraction & Separation of Heavy Minerals from Overburden Red Soil from Limestone Mining" and also refer to the fact that the Petitioner had made a further presentation of its project proposal to the Director General and TEC of the GSMB on 19.02.2023. The letter addressed by the Petitioner to the Secretary, Ministry of Environment on 22.02.2024 (P12(iv)) too refer to a request for a trading licence being made to the GSMB.

When the Petitioner had made certain requests and engaged with the GSMB in respect of obtaining a trading licence in respect of its project proposal, as reflected in the aforementioned correspondence, the GSMB, as a statutory authority exercising regulatory functions was obliged to consider and respond to such requests. In fact, by its letter dated 19.12.2023 (P12(iii)), the Petitioner has sought a written confirmation about the understanding that "heavy mineral extraction from red soil at Aruwakkalu is considered as a value addition by the Geological Survey & Mines Bureau."

I am of the view that the issuance of letter (P15) should be considered in such context. As such, the letter (P15) should be considered as a response to the request for written confirmation about the specific nature of the Petitioner's project sought by the letter (P12(iii)), wherein the GSMB has set out its conclusions. Since the Petitioner had engaged with the GSMB for a period of about 01 year, it could be reasonably assumed that the GSMB was fully aware of the nature of the project and expectations of the Petitioner, when it issued the letter (P15). In such circumstances, I am inclined to accept the version of events set out in paragraph 16 of the objections of the GSMB and conclude that the letter (P15) contains an assessment

[52] [2009] 1 Sri L.R 337.

of the Petitioner's eligibility for a trading licence, upon the Petitioner's request and based on material submitted by it.

Without prejudice to my findings above, the aforementioned exchange of correspondence indicates that the Petitioner had engaged with the GSMB and made a request for a trading licence. Hence, the position taken up before this Court that, in the absence of a valid application in the format stipulated by law, there is nothing for the GSMB to reject, amounts to "approbation and reprobation" on the part of the Petitioner. As already discussed in this judgment, the doctrine of *estoppel* would operate against the Petitioner in such circumstances to *estop* it from denying that it had made a request for a trading licence.

The Petitioner has also alleged that the underlying decision reflected in the letter (P15) and the reasons for same have not been tendered to Court. As such, has invited the Court draw an adverse inference in terms of section 114(f) of the Evidence Ordinance against the GSMB Petitioner and presume that *"evidence which could have been produced and is not produced, would if produced be unfavourable to the person who withholds it."*

Before commenting on such position taken by the Petitioner, it would be helpful to consider the text of the said letter (P15), which is reproduced below;

> *22nd March 2024*
>
> *Chairman*
> *Asha Minerals (Pvt) Limited*
> *103C Uttarananda Mawatha*
> *Colombo 3.*
>
> ***Re: Mineral Sands at Aruwakkalu***
>
> *We wish to inform you that GSMB has rejected your application for a Trading license for mineral sands at Aruwakkalu. A Trading license must originate from a mining license, which in turn originates from an exploration license - all three should be for the same mineral.*
>
> *The mineral sands rights at Aruwakkalu are currently held exclusively by Puttalam Ilmenite (Pvt) Limited, whose final exploration report has been approved by the GSMB. Puttalam Ilmenite (Pvt) Limited holds a retention license, pending the issuance of a mining license for mineral sands at the site.*
>
> *Siam City Cement Lanka Limited currently holds mineral rights for limestone at Aruwakkalu and is a land leasee. The Sri Lanka Cement Corporation is the land lessor. Neither Siam City Cement Lanka Limited nor the Sri Lanka Cement Corporation can issue anyone rights to mine, purchase, store, trade, process or export mineral sands.*

There is no concept of "overburden processing" that allows circumvention of mineral rights and the authority of the GSMB by a land lessor or leasee. One party's waste can be another party's ore (i.e. 2 different minerals) and both can only be conferred their mineral rights by the GSMB, not from each other.

Unlike a Mining License, a Trading License for any other area or mineral that you may consider can only be issued on a non-exclusive basis for a period of not more than 1 year. Thus, for long term investment a mining license may be preferred.

D. Kithsiri Manchanayakke
Chairman

The learned State Counsel in her submissions and in the written submissions filed[53] pointed out that an applicant seeking a trading licence should obtain or source the mineral that it wishes to trade in from a party which has a valid mining licence. Such requirement is clearly set out in clause 2(b) of Form 4.1, which is the prescribed form for trading licences, contained in the Mining (Licensing) Regulations published in Extraordinary Gazette Notification No. 794/23 dated 26.11.1993 (R4). Such clause 2(b) expressly requires the applicant to identify the mining licence from which the minerals are to be purchased. The learned State Counsel submitted that such requirement was not an administrative formality but was a mandatory requirement of the integrated statutory framework contained in the Mines and Minerals Act and the Regulations and Gazette Notifications thereunder. She further submitted that the statutory scheme left no room for arbitrary deviation or circumvention.

The learned State Counsel also referred to the fact that in the letter (P15), it had been pointed out that INSEE Cement could not act as the Petitioner's mining partner for purposes of obtaining a trading licence, since INSEE held a mining licence solely for limestone, whereas the Petitioner sought to trade in ilmenite, which was a distinct heavy mineral. Accordingly, it was submitted that such an arrangement would constitute a circumvention of the law.[54]

In the said letter (P15), the GSMB has addressed the following issues;

(a) it has set out the interrelationship between an exploration licence, a mining licence and a trading licence, which are 03 types of licences itself sets out;

(b) it has identified the parties which held various types of licences issued by the GSMB in respect of the Aruwakkalu land;

(c) it has indicated its position on the concept of "overburden processing" proposed by the Petitioner in its project proposal; and

(d) it has set out the relative merits of a mining licence and a trading licence for the consideration of the Petitioner.

[53] Written submissions of the 1st, 2nd, 4th to 9th Respondents, paragraph 58.
[54] Ibid, paragraph 60.

In my view the GSMB has clearly set out its conclusions and the reasons for same on the above issues in the said letter (P15), and as such, the said letter constitutes a "speaking order." Thus, I am unable to agree with the aforementioned position taken up by the Petitioner that the underlying decision and the reasons for the decision reflected in the letter (P15) have not been presented to Court.

Furthermore, apart from its contentions relating to the lack of a formal application and the failure to tender the underlying decision and reasons, which both relate to procedural aspects, it is also observed that the Petitioner has not otherwise challenged the contents of the said letter. Therefore, upon consideration of the totality of the matters set out above, I am of the view that the letter (P15) reflects the correct position of the law regarding the issuance of a trading licence and I see no reason to set aside the decision contained therein.

Trading Licence

The requirement to obtain a trading licence to process and trade in minerals has been imposed by section 28(1) of the Mines and Minerals Act and the requirements and procedure to be followed in obtaining a trading licence are set out in Regulation 6 of the Mining (Licensing) Regulations (R3). The salient provisions of the aforesaid Regulation 6 may be cited as follows;

6(1)(a) An application for a Trading Licence shall be made by an applicant at the Registered Office of the Bureau and shall substantially be in Form 4:1 hereto.

(b) An application for the renewal or surrender of a Trading Licence shall substantially be in Form 4:2 hereto.

……

(3) Upon receipt of an application for a Trading Licence or the renewal thereof, the Bureau shall issue an official receipt therefor, to the applicant or licensee, as the case may be, and the Bureau may upon the completion of the scrutinization of the information stated in the respective Forms and the documents furnished by the applicant or the licensee, as the case may be, either approve or reject the application. If the application is approved the Bureau shall notify the applicant or licensee, as the case may be, in writing of such approval and grant a Trading Licence to the applicant or renew the Trading Licence.

(4) A Trading Licence shall grant the licensee the non-exclusive right to purchase, store, process, trade in and with the special authorization of the Director, to export minerals in respect of which the licence is issued.

…….

(6) The holder of a Trading Licence may for the purpose of purchasing, and processing of Minerals, enter and occupy the area specified in such licence, but shall not interfere with the mining activities conducted within such area.

Although the Petitioner has sought a writ of *Mandamus* to direct the Respondents to accept its application for a trading licence, process same in terms of the law and issue a trading licence in respect of the land in Aruwakkalu, in its petition, at the hearing of this application,

it was clarified that the Petitioner will confine such relief to a direction to process a lawful application made by the Petitioner for a trading licence, in view of the concession made by the GSMB to process a lawful application made by the Petitioner.[55] In view of such concession, the Petitioner also clarified that it would not be necessary for this Court to inquire into the merits of granting a writ of *Mandamus* for a trading licence.

It is re-iterated that in so far as the Petitioner's entitlement to a trading licence is concerned, the principal deficiencies in its current project proposal have been clearly set out in the letter (P15), which relate to the following matters;

(a) Clause 2(b) of the prescribed form (Form 4.1) of the Mining (Licensing) Regulations (R3) requires the identification of a valid mining licence from which the mineral is to be purchased;

(b) The Petitioner's claim that INSEE could serve as a mining partner is legally untenable, as INSEE only holds a limestone mining licence and cannot qualify as a mining partner for ilmenite; and

(c) Any representations made by the Petitioner prior to the issuance of P15 were insufficient to satisfy these statutory requirements.[56]

It is further observed that the Petitioner has consistently maintained in its pleadings and submissions that it is not presently engaged in or intend to engage in "mining" and that its project does not involve "mining." The Petitioner has characterized its project as "a value addition project" involving the extraction of heavy minerals from already excavated red soil and which does not involve mining.[57] Such position has been contested by the Respondents, who have submitted that the Petitioner is in fact engaged in "mining" in circumvention and violation of the law. I intend to examine the relative merits of such positions taken up by the parties.

In the first instance, it would be prudent to examine the definitions of the terms "mine," "mining" and "process" as set out in section 70 of the Mines and Minerals Act;

> *"mine" means an opening upon, or an excavation in, or a working of the ground, for the purpose of exploring or mining for, and processing of, minerals and includes all works, machinery, plant, buildings, and premises below or above ground used in connection with such exploration, mining or processing activities;*
>
> *"mining" means excavating in, on or, below the surface for the purpose of evaluating and obtaining any minerals;*

[55] Such clarification has been documented in paragraph 71 of the Petitioner's written submissions.
[56] Written submissions of the 1st, 2nd , 4th to 9th Respondents, paragraph 75.
[57] Petitioner's written submissions, paragraphs 69 and 76.

"process" mean to crush, beneficiate, concentrate or otherwise treat minerals in a preliminary manner by a physical, chemical or other process, but does not include smelting and refining, and the expression 'processing' shall be construed accordingly;

As reflected in its written submissions, the Petitioner has sought to argue that it is not engaged in "mining" on 03 principal bases, which are as follows;

(a) "Mining" involves the act of "excavating" and the Petitioner's project is to make commercial use of and generate much needed foreign revenue from already "excavated" red soil. The value addition the Petitioner seeks to bring is to process the red soil that is already "excavated" by INSEE Cement and extract and separate heavy minerals.

(b) As a result of the activity that the Petitioner proposes there is no usage of the land as in exploration and mining which is intrusive or invasive that changes its condition and requires it to be rehabilitated or restored. Instead, the Petitioner, having obtained the consent of the land owner (SLCC) and the leaseholder (INSEE Cement), is empowered to enter the land, erect/install plant, machinery, equipment, and construct buildings within the area to carry out activities authorized by the licence-i.e. to receive red soil, to process same in a plant in order to extract the heavy minerals and return the said red soil to INSEE to dump/landfill the red soil back into the land from which it was excavated. It has also been stated that the Petitioner will be liable to the extent of its use to rehabilitate the land to the satisfaction of the GSMB.

(c) The Petitioner is not entitled to the privileges or exemptions granted to mining or exploration licence holders. The Petitioner has pointed out that it does not gain "exclusivity" conferred in respect of exploration and mining licences due to the distinct nature of the project as a value addition project, lack of provision to issue more than one mining licence for the same mineral in the same area, and as Regulation 6(4) of the Mining (Licensing) Regulations (R3) specifically provide that a trading licence shall only grant the licensee a non-exclusive right.

With regard to the interpretation of the terms "mining" and "process," both the learned State Counsel for the for the 1st, 2nd , 4th to 9th Respondents as well as the learned President's Counsel for the 3rd Respondent (Puttalam Ilmenite) contested the interpretations advanced by the Petitioner and contended that had the effect of distorting the definitions provided in the Mines and Minerals Act and were intended to circumvent the law. It was common ground among the Respondents that the Petitioner was in fact engaged in "mining" as contemplated under the Mines and Minerals Act illegally without a valid licence.

Responding to the Petitioner's contention that it was not engaged in "mining" since it was not conducting any "act of excavation," the learned State Counsel relied on the position taken up the GSMB, as the statutory regulator of mining established by the Mines and Mineral Act, in the letter dated 22.03.2024 (P15) addressed to the Petitioner that *"there is no concept of "overburden processing"* that allows circumvention of mineral rights and the authority of the GSMB by a land lessor or lease" and that *"one party's waste can be another party's ore (i.e. 2 different minerals) and both can only be conferred their mineral rights by the GSMB, not from each other."* I am of the view that, in arriving at findings in technical issues upon which this

Court has no expertise, the Court is entitled to be guided by the findings made by agencies that do have the necessary expertise.

In addition, the learned President's Counsel for the 3rd Respondent, *inter alia,* drew the attention of Court to the following clauses in the Implementation Agreement between the Petitioner and the SLCC (P6) and submitted that the activities envisaged under the said clauses amounted to "mining" in terms of the Mines and Minerals Act;

1. THE PURPOSE AND THE TERM OF THE AGREEMENT.

*1.1 SLCC hereby permits Asha Minerals to carry out a pilot project to extract and separate heavy minerals by utilizing the entire red soil overburden from limestone mining by Siam City Cement Lanka (Pvt) Ltd at the said Aruwakkalu Project ("**the Purpose**") for a period of 30 years commencing from 10th April 2023; the date of signing this agreement and ending on 10th April 2053 ("**the Term**").*

*1.2 The parties agree that Asha minerals has the exclusive rights to use the said overburden red soil for the aforesaid Purpose in Clause 1.1 above For the Purpose of this Agreement, "**Overburden Red Soil at the Aruwakkalu Project Land**" shall mean and include;*

i. The red soil extracted and deposited/refilled/rehabilitated during the process of extracting Raw Materials from the Aruwakkalu Project Land for manufacture of cement by Siam City Cement Lanka (Pvt) Ltd and/or anyone else to date; and /or

ii. The layers of red soil presently lying on top of the unmined limestone beds in the Aruwakkalu Project Land; and/or

iii. Red soil which is presently being extracted during the process of extracting Limestone for manufacture of cement by Siam City Cement Lanka (Pvt) Ltd.

1.3 In consideration of the payment to SLCC <u>and for performing the extraction process, the SLCC shall lease out 1/3rd of the entire Aruwakkalu Project Land to Asha Minerals for a value addition project for mining, extraction and separation of heavy minerals from the red soil for a period of 30 years commencing from 10th April 2023</u>; the date of signing this agreement and ending on 10th April 2053. It is further agreed between parties in this regard as follows; on such terms and conditions agreed between the Parties.

i. Such 1/3rd of Land shall be leased out to Asha Minerals from the remaining area of the land morefully described in the schedule hereto; and

ii. <u>The red soil utilized for mining, extraction and separation of heavy minerals under such lease agreement may sometimes be identified as the Overburden Red Soil on limestone mining but shall not be limited to the same.</u>

iii. The allocation of such 1/3rd of Land is limited to the red soil layer already extracted or otherwise remaining to be extracted, and as such is not contrary to the operation of lease hold rights of Siam City Cement Lanka (Pvt) Ltd.

iv. In any event the SLCC shall allocate and demarcate with GPS points the aforesaid 1/3rd of the land area to Asha Minerals, immediately after execution of these presence and not later than 30 days and said GPS pointed document shall be part and parcel of this agreement attached as Annexure 1 (emphasis added)[58]

The learned President's Counsel also drew the attention of Court to amended clause 2.1 in the Supplementary Agreement (P8(a)) with regard to the necessity for the Petitioner to obtain necessary approval from, *inter alia,* the GSMB and submitted that the Petitioner had failed to do so. The said clause 2.1 is cited below;

2. OBLIGATIONS, UNDERTAKINGS AND WARRANTIES OF ASHA MINERALS

2.1 Prior to commencing operations, Asha Minerals shall obtain all the necessary approvals, permits and licenses required for the said Purpose from Sri Lanka Geological Survey and Mines Bureau (GSMB) and the Central Environment Authority and/or Provincial Environment Authority and/or any other Government Agencies. (emphasis added)

It has also been submitted by Puttalam Ilmenite that the aforementioned Implementation Agreement had been fundamentally amended by the Supplementary Agreement as SLCC and Asha Minerals knew that the original agreement was legally indefensible.[59]

In its written submissions, Puttalam Ilmenite has also adverted to the order of the Supreme Court dated 16.09.2025 made in the SCFR Application No. 146/2024, which is a fundamental rights application relating to the Petitioner's project,[60] wherein the Court has, *inter alia,* has made the following observations;

> *It was the position of the learned President's Counsel for the 18th Respondent before this Court that the 18th Respondent is never involved in extracting ilmenite from the relevant site. However we observe that the report filed by the OIC Wanathavilluwa police in Puttalam Magistrate's Court that the police had taken into custody two cubes of ilmenite from the relevant site. This is in addition to the other equipment which the police had taken into custody from the site alleging that they were used to extract Ilmenite.*

The Court had accordingly proceeded to make an interim order to the following effect;

> *An order directing the 18th Respondent not to engage in any act of extracting and separating heavy minerals by utilizing red soil over burden in Aruwakkalu land of the 6th Respondent without any valid permit/license issued in accordance with the law.*

It is evident from the aforementioned order of the Supreme Court that the process engaged in by the Petitioner, irrespective of the terminology used by the Petitioner, has resulted in

[58] It is observed that the said clause 1 had been amended by the Supplementary Agreement (P8(b)).
[59] 3rd Respondent's written submissions, paragraph 434.
[60] The Petitioner is cited as the 18th Respondent.

ilmenite being "obtained" from the red soil overburden at the site, which in my mind amounts to "mining," as defined in the Mines and Minerals Act. Thus, based on the material available before this Court, I reject the Petitioner's contention that it is not engaged in "mining," as defined in the Mines and Minerals Act. It is further observed that the Petitioner has engaged in such activities without any type of licence issued by the GSMB.

The aforementioned conduct also begs the question whether the Petitioner has made a full and fair disclosure of all material facts and whether it possesses the *uberrima fides* to have and maintain the instant application. Such requirements in granting relief in prerogative writs are well established in our law. The duty cast upon a party seeking relief from Court has been explained by the Supreme Court in ***Jayasinghe v. The National Institute of Fisheries and Nautical Engineering and others***[61] in the following terms (per Yapa, J.);

> *When a litigant makes an application to this Court seeking relief, he enters into a contractual obligation with the Court. This contractual relationship requires the petitioner to disclose all material facts correctly and frankly. This is a duty cast on any litigant seeking relief from Court. In the case of* ***Blanca Diamonds (Pvt) Limited v. Wilfred Van Els and Two Others,***[62] *the Court highlighted this contractual obligation which a party enters into with the Court, requiring the need to disclose uberrima fides and disclose all material facts fully and frankly to Court. Any party who misleads Court, misrepresents facts to Court or utters falsehood in Court will not be entitled to obtain redress from Court. It is a well-established proposition of law, since Courts expect a party seeking relief to be frank and open with the Court. This principle has been applied even in an application that has been made to challenge a decision made without jurisdiction. Further, Court will not go into the merits of the case in such situations. Vide* ***Rex v. Kensington Income Tax Commissioners; Princess Edmond De Polignac.***[63] *This principle of uberrima fides has been applied not only in writ cases where discretionary relief is sought from Court, but even in Admiralty cases involving the grant of injunctions."*

I am of the view that the conduct of the Petitioner set out above does not meet the threshold requirements relating to disclosure and *uberrima fides* set out by the Supreme Court.

<u>Invalidation of the Exploration Licence and Retention Period granted to the 3rd Respondent (Puttalam Ilmenite)</u>

The second group of reliefs sought by the Petitioner includes writs of *Certiorari* to quash the exploration and retention licences granted to Puttalam Ilmenite.

I have discussed the status of the exploration licence and retention period granted in respect of such exploration licence in considering the entitlement of Puttalam Ilmenite, who is the Petitioner in CA Writ 169/2024. I have observed that the Exploration License EL/140 (P11) was

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[61] [2002] 1 Sri L.R. 27.

[62] [1997] 1 Sri LR 360.

[63] [1917) 1 KB 486.

issued for a period of 24 months from 20.08.2021 to 19.08.2023. Thereafter, the maximum period of retention of 02 years that could be granted in terms of Regulation 4(14)(e) of the Mining (Licensing) Regulations too has been granted and it is common ground between the parties that such period too came to an end on 08.10.2025. Therefore, it is evident that such exploration licence and retention period cannot be revived in terms of the law.

In this context, I also wish to observe that the Petitioner had instituted the instant application challenging the said exploration licence only on 28.03.2024, which is after a period of over 07 months since the said licence had expired.

In line with the determination made by me in relation to the issue of extending the retention period sought by Puttalam Ilmenite in CA Writ 169/2024, I am of the view that the invalidation of the exploration licence and the retention period granted to Puttalam Ilmenite at this stage has become academic and that would not be necessary for this Court to consider the grant of such relief any longer.

Prohibition of the Issuance of an Industrial Mining Licence to the 3rd Respondent (Puttalam Ilmenite) and Grant of Site Access

The Petitioner has also sought writs of *Prohibition* to prevent the GSMB from granting an industrial mining licence to the said Puttalam Ilmenite to mine and process mineral sands at the land in Aruwakkalu and to prevent the SLCC from permitting Puttalam Ilmenite to access the said land. I wish to observe that the grant of such reliefs become material only if Puttalam Ilmenite is able to establish its entitlement to obtain an industrial mining licence in accordance with the law. However, I have extensively discussed the entitlement of Puttalam Ilmenite to obtain such licence in CA Writ 169/2024 and arrived at the conclusion that Puttalam Ilmenite has failed to establish its legal entitlement for the issuance of an industrial mining licence. In arriving at such conclusion, I have also considered the objections raised by the instant Petitioner. In such circumstances, I am of the view that it would not be necessary to consider the grant of the writs of *Prohibition* sought by the Petitioner.

Economic Development, Natural Resources and Sustainable Development

The Petitioners in both applications have submitted that their projects involve substantial investment and would generate significant financial and employment benefits to the country. Puttalam Ilmenite has stated that its project contemplates a total investment of approximately USD 100 million, with a foreign direct investment component of USD 80 million, and would generate export earnings exceeding USD 200 million per annum over a mine life span of approximately 24 years, create 400 direct and 2000 indirect employment opportunities and yield USD 5 million per annum to the GSMB.[64]

Asha Minerals has submitted that its project will enable overburden (red soil) to be used to generate foreign revenue, create direct and indirect employment opportunities, introduce

[64] Petitioner's written submissions in CA Writ 169/2024, paragraph 47 and 48.

value addition technology and knowledge to the country, increase the Gross Domestic Product of the country, and develop small scale local mineral-based industries.[65] The company had further agreed to make a deposit of USD 50,000 to the SLCC, to pay royalty fees and other taxes to the GSMB, and to make a payment at the rate of 4% of FOB value (to be increased by 10% once every 03 years) to the SLCC and to establish and staff a state-of-the-art laboratory.[66]

However, as discussed above, in as much as their projects may be economically beneficial, it is equally evident that both such companies have failed to meet the legal requirements under the Mines and Minerals Act to obtain the licences sought by them, namely, an industrial mining licence in the case of Puttalam Ilmenite and a trading licence in the case of Asha Minerals.

The dilemma between economic development, exploitation of natural resources and the concept of sustainable development has been considered by our Superior Courts and several landmark decisions have emerged. In ***Bulankulama and others v. Secretary to the Ministry of Industrial Development and others (Eppawela Case),***[67] the Supreme Court opined as follows on the concept of "sustainable development" (per Amerasinghe, J.):

> *Undoubtedly, the State has the right to exploit its own resources, pursuant, however to its own environmental and development policies. (Cf. Principle 21 of the U.N. Stockholm Declaration (1972) and Principle 2 of the U.N. Rio De Janeiro Declaration (1992). Rational planning constitutes an essential tool for reconciling any conflict between the needs of development and the need to protect and improve the environment. (Principle 14, Stockholm Declaration). Human beings are at the centre of concerns for sustainable development. They are entitled to a healthy and productive life in harmony with nature. (Principle 1, Rio De Janeiro Declaration). In order to achieve sustainable development, environmental protection shall constitute an integral part of the development process and cannot be considered in isolation from it. (Principle 4, Rio De Janeiro Declaration). In my view, the proposed agreement must be considered in the light of the foregoing principles.*[68]
>
> *……*
>
> *In my view, due regard should be had by the authorities concerned to the general principle encapsulated in the phrase `sustainable development', namely that human development and the use of natural resources must take place in a sustainable manner.*
>
> *There are many operational definitions of "sustainable development", but they have mostly been variations on the benchmark definition of the United Nations Commission on Environment and Development chaired by Gro Harlem Bruntland, Prime Minister of Norway, in its report in 1987, ". . . development that meets the needs of the present without compromising the ability of future generations to meet their own needs."*

[65] Petitioner's written submissions in CA Writ 200/2024, paragraphs 84.
[66] Ibid, paragraphs 80 and 82.
[67] [2000] 3 Sri L.R 243.
[68] Ibid, p 274.

Some of the elements encompassed by the principle of sustainable that are of special significance to the matter before this Court are, first, the conservation of natural resources for the benefit of future generations - the principle of intergenerational equity; second, the exploration of natural resources in a manner which is `sustainable', or `prudent' - the principle of sustainable use; the integration of environmental considerations into economic and other development plans, programmes and projects - the principle of integration of environment and development needs.[69]

Such theme of sustainable development has been further explored in ***Watte Gedara Wijebanda v. Conservator General of Forests and Others (supra),***[70] wherein the Supreme Court observed as follows (per Tilakawardane, J.);

The right of all persons to the useful and proper use of the environment and the conservation thereof has been recognized universally and also under the national laws of Sri Lanka. While environmental rights are not specifically alluded to under the fundamental rights chapter of the Constitution, the right to a clean environment and the principle of inter generational equity with respect to the protection and preservation of the environment are inherent in a meaningful reading of Article 12(1) of the Constitution.

The constitution in Article 27(4) of the directive principles of state policy enjoins the state to protect, preserve and improve the environment. Article 28 refers to the fundamental duty upon every person in Sri Lanka to protect nature and conserve its riches.

Further, although the Directive Principles of State Policy are not specifically enforceable against the state, they provide important guidance and direction to the various organs of state in the enactment of laws and in carrying out the functions of good governance. An important parallel can be drawn with the Indian experience, and the significance granted to Directive Principles within that countries' legal scheme governing environmental protection.[71]

……

Correspondingly, courts in Sri Lanka, have long since recognized that the organs of State are guardians to whom the people have committed the care and preservation of the resources of the people. This recognition of the doctrine of 'public trust', accords a great responsibility upon the government to preserve and protect the environment and its resources.[72]

…….

Under the public trust doctrine as adopted in Sri Lanka, the State is enjoined to consider contemporaneously, the demands of sustainable development through the

[69] Ibid, pp 276-277.
[70] Vide note 52, pp 356-358
[71] Ibid, p 356.
[72] Ibid, p 357.

efficient management of resources for the benefit of all and the protection and regeneration of our environment and its resources. Principle 21 of the Stockholm declaration, 1972 and Principle 2 of the Rio De Janeiro Declaration, 1992 recognize the right of each state to exploit its own resources, pursuant, however to its own environmental and development policies. The principle of sustainable development prioritizes human needs and concerns for a healthy and productive life in harmony with nature. Therefore environmental protection as envisaged under the Constitution forms an integral part of such development.[73]

In ***Sarath Fernando, Conservator General of Forests v. P.B.S. Dissanayake and others (Uva Magnetite Mining Case) (supra),***[74] after an extensive examination of the applicable constitutional and legal provisions and local and foreign jurisprudence, the Supreme Court has set out several fundamental legal principles relating to the management and regulation of exploitation of natural resources. In relation to the nexus between economic development and exploitation of natural resources, the Court has elucidated the current status of the law in the following manner (per Kodagoda, J.);

Economic development and the exploitation of natural resources

49. Particularly at a time when the State is attempting under trying circumstances to steadfastly emerge from a serious economic disaster and financial turmoil, economic policy-makers may be strained to recommend that natural resources such as minerals be exploited to achieve rapid economic benefit and an increase in the gross domestic product (GDP). However, such harnessing of what Sri Lanka has been blessed with, must be carried out in accordance with the principles contained in the Constitution, standards and procedures laid down in law, and in consonance with the legal principles enshrined in the above-mentioned judgments of this Court. Learned Justices have laid down those principles and made observations contained in such judgments for the purpose of ensuring inter-generational equity, preservation of the riches of the nature for the benefit of future generations, ensuring the protection of the environment, and achieving sustainable development.

50. This judgment highlights additionally the legal requirement to adhere to intra-generational equity. In this regard, it may be noted that the Sri Lanka Sustainable Development Act, No. 19 of 2017 has been enacted by the Parliament for this very purpose.

51. The four-fold delicate balance between;

(i) achieving rapid economic development with the engines of growth being the People of Sri Lanka including the private sector,
(ii) achieving sustainable development through effective management and regulation of the use of natural resources,

[73] Ibid, p 358.
[74] Vide note 21.

(iii) ensuring environmental protection, and
(iv) respecting intra-generational and inter-generational equity, may be difficult to achieve, but, is an absolute necessity.

These four criteria are no longer governance related prudential policies, but legal requirements recognised by the Constitution.

The aforementioned decisions, *inter alia,* highlight the necessity to balance economic development, effective management and regulation of the use of natural resources and environmental protection in order to achieve sustainable development. In the instant applications, strict adherence to the licensing framework set out in the Mines and Minerals Act and the Regulations made thereunder is of critical importance in achieving and maintaining such balance between competing interests and ensuring that the ilmenite mineral resource in the Aruwakkalu site is developed and managed sustainably.

In addition, these decisions as well as a host of other decisions of our Superior Courts have clearly established the principle that perceived financial or economic gains or considerations do not justify or warrant an exemption, deviation or circumvention in any form from the established legal framework and procedures governing a particular activity. This principle has been recognized not only in instances relating to the exploitation of natural resources as in the instant case but across all spheres of activity involving the participation of the State and its agencies and the exercise of administrative or executive powers, including tenders and public procurements,[75] operation of concessions such as power plants[76] and the disposal of State assets.[77] In my view, any departure from such principle would seriously undermine the Rule of Law and public confidence in same.

Legal Objections

It is observed that several legal objections have been raised in respect of both applications relating to futility, approbation and reprobation, failure to cite necessary parties, *uberrima fides* and laches. I have considered both applications on their merits, and in such process, I have considered the submissions made by the parties relating to futility, approbation and reprobation and *uberrima fides.* In addition, I have also considered the issue of disputed facts.

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[75] For instance, see decisions of the Supreme Court in *Smithkline Beecham Biologicals S.A. and another v. State Pharmaceutical Corporation of Sri Lanka* [1997) 3 SLR 20; *Wickrematunga v. Anuruddha Ratwatte and others* [1998] 1 SLR 201; *Pamkayu (M) SND BHD (Appearing by Its Attorney, Hemachandra) and another v. P. Liyanaarachchi, Secretary, Ministry of Transport and Highways and others* [2001] 1 SLR 118; *Target Environmental Services Company (Private) Limited and another v. Dr. Ashoka Kahandaliyanage, Secretary, Ministry of Healthcare and Nutrition and others* (SCFR Application No. 91/2008) SC Minutes dated 20.10.2009; *Noble Resources International Pte Ltd v. Hon. Ranjith Siyambalapitiya and others* (SCFR Application No. 394/15) SC Minutes dated 24.06.2016; *Sunway International (Pvt) Ltd and another v. Airport and Aviation Services (Sri Lanka) Limited and others* (SCFR Application No. 147/17) SC Minutes dated 02.12.2019; and *Daewoo Engineering and Construction Co. Ltd v. Amarasekera* [2006] 2 SLR 232.

[76] *Ravindra Gunawardena Kariyawasam v. Central Environmental Authority and others* (vide Note 19).

[77] *Vasudeva Nanayakkara v. KN Choksy and others* [2008] B.L.R 23 (Lanka Marine Services Case), *Mendis and others v. Kumaratunge and others* [2008] B.L.R 1(Water's Edge Case), *Vasudeva Nanayakkara v. KN Choksy and others* [2009] B.L.R 1 (SLIC Case).

In relation to the failure to cite necessary parties, although it would have been beneficial if INSEE Cement was cited as a party in both applications since its conduct as the lessee has been referred, nevertheless I am not convinced that its participation is indispensable for a considered adjudication of these applications. I take this view since the documentation referring to the conduct of INSEE Cement relevant to the instant applications have been made available to Court by the parties.

In such circumstances, I am of the view that it would not be necessary to consider and determine the rest of the legal objections raised taking into account the findings that I have made on such merits of both applications.

Conclusions and Orders of Court

For the reasons set out above, I have arrived at the following determinations;

CA Writ Application No. 169/2024

I hold that the Petitioner has failed to establish its entitlement to an Industrial Mining Licence in accordance with the law. Since the maximum permissible retention period in respect of the Exploration Licence EL/410 has already been granted, the issue of its extension does not arise. As the Petitioner's aforementioned Exploration Licence, as extended, has lapsed, I am of the view that the writs of *Prohibition*, as prayed for, cannot be maintained. Accordingly, I proceed to dismiss the Petitioner's application.

However, I specifically state that this judgment should not operate as a barrier for the Petitioner to submit a fresh application for an Industrial Mining Licence under the Mines and Minerals Act and for the GSMB to consider and determine the same in accordance with the law.

CA Writ Application No. 200/2024

I hold that the decision contained in the letter dated 22.03.2024 (P15) has been arrived at by the GSMB in accordance with the law, and as such, I refuse the writ of *Certiorari* sought by the Petitioner to quash the same.

In the absence of an application made in terms of the Mines and Minerals Act and the Regulations made thereunder for a Trading Licence, I am not inclined to grant the writ of *Mandamus*, as prayed for in the petition. The Petitioner has also not established its entitlement for a Trading Licence in accordance with the law. I am further of the view that the conduct of the Petitioner, as reflected in the order of the Supreme Court in SCFR Application No. 146/2024 dated 16.09.2025, militates against the grant of any prerogative relief to the Petitioner.

Since the Exploration Licence No. EL/410 issued to the 3rd Respondent (Puttalam Ilmenite Limited), as extended, has lapsed, the issuance of the writs of *Certiorari* sought by the

Petitioner to quash the said exploration licence and its retention period has become futile. Furthermore, in view of the fact that the Petitioner has failed to establish its entitlement to a Trading Licence as aforesaid, and also decision the arrived at by me that the said 3rd Respondent, who is the Petitioner is CA Writ Application No. 169/2024, has not established its entitlement to an Industrial Mining Licence in accordance with the law, the grant of a writs of *Prohibition* sought by the Petitioner against the said 3rd Respondent would also be futile. Accordingly, I proceed to dismiss the Petitioner's application.

However, as clarified by the learned President's Counsel for the Petitioner and the State Counsel at the hearing of this application, this judgment will not act as a barrier for the Petitioner to submit a fresh application for a Trading Licence under the Mines and Minerals Act and for the GSMB to consider and determine same in accordance with the law.

The parties will bear their own costs.

Applications dismissed.

Judge of the Court of Appeal

Mayadunne Corea, J.

I agree.

Judge of the Court of Appeal